

Other Transaction Authority

AGREEMENT BETWEEN

THE UNITED STATES GOVERNMENT

REPRESENTED BY

Naval Undersea Warfare Center
1176 Howell St.
Bldg 1320/204
Newport, RI 02841

AND

COMPANY NAME

STREET ADDRESS

CITY, STATE ZIP CODE

Agreement No.: N66604-FY-9-XXXX

Total Amount of the Agreement: \$

Authority: 10 U.S.C. § 4022

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ARTICLE I: SCOPE OF THE AGREEMENT

A. Background

The Naval Undersea Warfare Center (NUWC) is responsible for delivering undersea warfare (USW) capability that enables decisive warfighting advantage to the Fleet. NUWC is expanding Tactical Oceanography (TAC-O) prototyping efforts under the Commercial Solutions Opening (CSO) to demonstrate its military effectiveness as described in paragraph B of this article. This Other Transaction Agreement (OTA) is awarded based upon the proposal by INSERT COMPANY NAME, hereinafter referred to as “The Company” in response to NUWC’s Commercial Solutions Opening.

B. Definitions

“Agreement” refers to this Other Transaction Agreement, as authorized under 10 U.S.C. § 4022, between the Government and the COMPANY.

“Agreements Officer (AO)” is the warranted Agreements Officer authorized to sign the final agreement for the Government.

“Agreements Officer’s Representative (AOR)” is the individual designated by the Government on a per project basis to monitor all technical aspects and approve invoices; the AOR shall only assist in administration of the agreement and prototype project to the extent expressly delegated such administration authority in writing in the Agreement by the responsible Agreements Officer.

“Contracting Activity” means an element of an agency designated by the agency head and delegated broad authority regarding acquisition functions. It also means elements or another agency designated by the director of a defense agency which has been delegated contracting authority through its agency charter.

“Date of Completion” is the date on which all work is completed or the date on which the period of performance ends.

“Development” means the systematic use, under whatever name, of scientific and technical knowledge in the design, development, test, or evaluation of an existing or potential new technology, product or service (or of an improvement in an existing technology, product or service) for the purpose of meeting specific performance requirements or objectives. Development includes the research functions of design engineering, prototyping, and engineering testing.

“Effective Date” means the date when this Agreement is signed and executed by the Agreements Officer for the Government.

“Government” means the U.S. Government.

“Government Fiscal Year” means the period commencing on October 1 and ending September 30 of the following calendar year.

“Other Transactions Authority (OTA)” is the term commonly used to refer to the 10 USC § 4022 authority to enter into transactions other than contracts, grants or cooperative agreements. The Department of Defense (DoD) currently has authority to make awards that are directly relevant to enhancing the mission effectiveness of personnel of the DoD or improving platforms, systems, components, or materials proposed to be acquired or developed by the DoD, or to improvement of platforms, systems, components, or materials in use by the armed forces. OTA Agreement are acquisition instruments that generally are not subject to the federal laws and regulations governing procurement (FAR based) contracts. As such, they

are not required to comply with the Federal Acquisition Regulation (FAR), its supplements (i.e. DFARS) or laws that are limited in applicability to procurement contracts.

“Parties” means Government and the COMPANY by its authorized agent where collectively identified and “Party” where each entity is individually identified.

“Program” means the overall effort to be funded by the Agreement, which is described in the Statement of Work appended to this Agreement as Attachment I.

“Prototype Project” or “project” means the individual projects being directly funded under this Agreement.

C. Follow-on Production

Follow-on production efforts may be executed under this Agreement in accordance with 10 U.S.C. § 4022, following successful completion of any prototype project awarded under this Agreement.

ARTICLE II: STATEMENT OF WORK (SOW)

See attached SOW, Attachment 1.

ARTICLE III: SECURITY REQUIREMENTS

All COMPANY personnel shall adhere to the Security provisions of 32 CFR Part 117 – National Industrial Security Program Operating Manual (NISPOM) and the security requirements of the attached DD254 (if included). While performing work at a Government Facility, COMPANY personnel shall comply with the security regulations of the host facility. Applicable FAR, DFARS, NMCARS clauses, and NAVSEA text shall be adhered to in the performance of this contract. Security incidents shall be promptly reported through the COMPANY’s Facility Security Officer (FSO), to the Agreement Officer’s Representative (AOR), Technical Point of Contact (TPOC), and the Cognizant Security Office to NUWCDIVNPT Security.

Controlled Unclassified Information (CUI) including Legacy FOUO and Covered Defense Information (meeting the definition of 48 CFR 252.204–7012(a)) generated and/or provided under this contract shall be marked and safeguarded as specified in DoD Instruction 5200.48, CUI available at:

<https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/520048p.PDF>. Any product containing Covered Defense Information shall be assigned a distribution statement (distribution statements B through F) in accordance with DoDI 5230.24 (Distribution Statements on Technical Documents); and DoDI 5230.24, Enclosure 3 Procedures, available at <https://www.esd.whs.mil/Portals/54/Documents/DD/issuances/dodi/523024p.pdf>.

INFORMATION SECURITY: If the work is performed at the COMPANY’s facility, the COMPANY shall implement and maintain security procedures and controls to prevent unauthorized disclosure of classified information and controlled unclassified information (CUI) and to control distribution of CUI in accordance with National Industrial Security Program Operating Manual (NISPOM) codifying 32 CFR Part 117, NISPOM Rule, and SECNAVIST M-5510.36B. If the work is performed at the Government's facility, the COMPANY shall comply with facility policy.

CUI INCIDENT REPORTING AND RESPONSE: The COMPANY shall promptly report any unauthorized, inadvertent, or illegal release or disclosure of CUI to the AOR / Technical Point of Contact (TPOC), Procuring Contracting Officer, and the Security Office. COMPANY personnel shall coordinate this effort through the relevant industry site FSO.

PUBLIC RELEASE: Any controlled unclassified information pertaining to this Agreement shall not be released for public dissemination, including posting to any social media sites such as Facebook or Twitter, unless it has been approved for public release by appropriate U.S. Government authority. Proposed public releases shall be submitted for approval prior to release through the appropriate U.S. Government Office.

ARTICLE IV: TERM

A. The Term of this Agreement

This Agreement will be available for a period of five years from award. Provisions of this Agreement, which, by their express terms or by necessary implication, apply for periods of time other than specified in the SOW, shall be given effect, notwithstanding this Article.

B. Early Termination of Agreement

Subject to a reasonable determination that the Program, or a prototype project funded under the Program, will not produce beneficial results commensurate with the expenditure of resources, the Government may terminate performance of work under this Agreement, in whole or in part, if the AO determines that a termination is in the Government's interest. The AO shall terminate this Agreement by delivering to the COMPANY a Notice of Termination specifying the extent of termination and the effective date of such termination.

After receipt of a Notice of Termination, and except as directed by the AO, the COMPANY shall immediately proceed with the following obligations, regardless of any delay in determining or adjusting any amounts due:

- (1) Stop work and direct its subagreement holders/vendors/suppliers/partners to stop work as specified in the notice.
- (2) Place no further orders for materials, services, or facilities, except as necessary to complete ongoing tasking commensurate with the SOW.
- (3) Terminate all orders to the extent they relate to the work terminated.
- (4) Assign to the Government, as directed by the AO, all right, title, and interest of the COMPANY under the orders terminated, in which case the Government shall have the right to settle or to pay any termination settlement proposal arising out of those terminations.
- (5) With approval or ratification to the extent required by the AO, settle all outstanding liabilities and termination settlement proposals arising from the termination of orders; the approval or ratification will be final for purposes of this clause.
- (6) As directed by the AO, transfer title to the following, where applicable, and deliver to the Government --
 - (i) The fabricated or unfabricated parts, work in process, completed work, supplies, and other material produced or acquired for the work terminated; and
 - (ii) The completed or partially completed plans, drawings, information, and other property that, if the order had been completed, would have been required to be furnished to the Government.
- (7) Complete performance of any work not terminated, if applicable.

(8) Take any action that may be necessary, or that the AO may direct, for the protection and preservation of the property related to the project that is in the possession of the COMPANY and in which the Government has or may acquire an interest.

(9) Use its best efforts to sell, as directed or authorized by the AO, any property of the types referred to under Article IV.B. Termination Provisions.

The proceeds of any transfer or disposition of project property will be applied to reduce any payments to be made by the Government under this Agreement, including credited to the price or cost of the work, or paid in any other manner directed by the AO.

In the event of a termination of this Agreement, the Government shall have patent rights as described in Article XXVIII, 'Patent Rights', and rights in Data as described in Article XXVII, 'Data Rights'. Failure of the Parties to agree to an equitable adjustment shall be resolved pursuant to Article XXIV, Disputes.

Nothing in this section shall be construed as a limitation of the rights of either Party in the event of a breach of contract or default by the other Party.

C. Stop Work Clause

As directed by the AO, the COMPANY shall stop all, or any part, of the work called for under this Agreement for a period as determined at the time of the written order is delivered, and for any further period to which the Parties may agree. The order shall be specifically identified as a stop-work order issued under this Article. Upon receipt of the order, the COMPANY shall immediately comply with its terms and take all reasonable steps to minimize the incurrence of costs allocable to the work covered by the order during the period of work stoppage. Within the prescribed period as determined in the stop-work order, or within any extension of that period to which the Parties shall have agreed, the AO shall either:

- (a) Cancel the stop-work order; or

- (b) Terminate the work covered by this Agreement.

If a stop work order issued under this clause is canceled, the COMPANY shall resume work. The Government shall make an equitable adjustment in the delivery schedule or negotiated price, or both, and the Government's share of this Agreement shall be modified, in writing, accordingly, if—

(1) The stop-work order results in an increase in the time required for, or in the cost properly allocable to, the performance of any part of this Agreement; and

(2) The COMPANY asserts its right to the adjustment within 30 days after the end of the period of work stoppage; provided, that, if the Government decides the facts justify the action, the Government may receive and act upon a proposal submitted at any time before final payment under this Agreement.

ARTICLE V: AGREEMENT ADMINISTRATION

Unless otherwise provided in this Agreement, approvals permitted or required to be made by NUWC may be made only by the AO. Administrative and contractual matters under this Agreement shall be referred to the following representatives of the Parties:

NUWC DIVNPT:

Agreements Officer
Naval Undersea Warfare Center
1176 Howell St.

Newport, RI 02841
Phone: (401) 832-4828
E-mail: christopher.j.kenney10.civ@us.navy.mil

Julianna Ricci
Agreements Specialist
Naval Undersea Warfare Center
1176 Howell St.
Newport, RI 02841
Phone: (401) 832 5617
E-mail: julianna.b.ricci.civ@us.navy.mil

AOR:

Liz Miller
Agreements Officer Representative
Naval Undersea Warfare Center
1176 Howell St.
Newport, RI 02841
Phone: (401) 832-6671
E-mail: elizabeth.v.miller3.civ@us.navy.mil

Each Party may change its representatives named in this Article by written notification to the other Party.

ARTICLE VI: INSPECTION AND ACCEPTANCE

(a) The Government has the right to inspect and test all materials furnished and services performed under this Agreement, to the extent practicable at all places and times, including during the period of performance, and in any event before acceptance. The Government may also inspect the plant or plants of the COMPANY or any subagreement holder engaged in prototype project performance. The Government will perform inspections and tests in a manner that will not unduly delay the work.

(b) If the Government performs inspection or tests on the premises of the COMPANY or subagreement holder engaged in a prototype project performance, the COMPANY shall furnish and shall require subagreement holders to furnish all reasonable facilities and assistance for the safe and convenient performance of these duties.

(c) Unless otherwise specified, the Government will accept or reject deliveries as promptly as practicable after delivery.

(d) If the COMPANY fails to proceed with reasonable promptness to perform required replacement or correction, the Government may terminate the prototype project.

(e) This clause applies in the same manner and to the same extent to corrected or replacement materials or services as to materials and services originally delivered under the prototype project.

ARTICLE VII: SHIPPING

(a) Specific shipping instructions will be included in prototype projects executed under this Agreement.

(b) All deliveries shall be FOB Destination, unless otherwise stated in prototype projects.

(c) Risk of loss or damage to the supplies provided under prototype projects executed under this Agreement shall remain with the COMPANY executing said project until, and shall pass to the Government upon:

(1) Delivery of the supplies to a carrier, if transportation is f.o.b. origin; or

(2) Delivery of the supplies to the Government at the destination specified in the prototype project Technical Instruction, if transportation is f.o.b. destination.

(d) Unless otherwise specified, all hardware shall be packaged in accordance with the COMPANY's commercial best practice to ensure undamaged arrival at destination. At the time of delivery, the COMPANY shall prepare and furnish to the Government a receiving report in the Wide Area Work Flow (WAWF).

ARTICLE VIII: OBLIGATION AND PAYMENT

A. Project Payments:

See Statement of Work, Attachment 1.

B. Accounting System Requirements:

Relevant to all cost share and cost reimbursement arrangements: Prior to the submission of invoices, the COMPANY shall have and maintain an established accounting system which complies with Generally Accepted Accounting Principles (GAAP) and the requirements of this Agreement. The COMPANY shall provide independent verification from a third-party auditor that their accounting system is appropriate for tracking cost share contributions made by the COMPANY. Consistent with this stipulation, an acceptable accounting system will be one in which all cash receipts and disbursements are controlled and documented properly.

C. Payments:

(a) The Government's liability to make payments is limited only to those funds obligated under prototype projects executed under this Agreement. The Government may incrementally fund projects in accordance with the Incremental Funding clause. If a modification becomes necessary in performance of a project the AO shall establish and execute a revised payment schedule consistent with the current project plan.

(b) The COMPANY shall submit invoices for processing according to the milestone payment schedule via the Procurement Integrated Enterprise Environment application of the Wide Area Work Flow (WAWF) system, according to the guidelines set forth below. Payments will be made by Defense Finance and Accounting Service,

(c) All schedules of payments for prototype projects will include the applicable negotiated Line Items for each selected and funded prototype. For fixed price prototype projects payments will be based on the completed tasking performed by the COMPANY, and for cost type prototype projects, payments will be based on actual costs incurred.

(d) Any costs incurred prior to the execution of any prototype project will be the sole responsibility of the COMPANY and will not be used as the basis of a claim against or construed as an obligation of the Government.

D. Payment Terms:

Payment terms are Net 30 days from receipt of an acceptable invoice from the COMPANY. Invoices will be handled in accordance with the Prompt Payment Act (31 U.S.C. 3903) and Office of Management and Budget (OMB) prompt payment regulations at 5 CFR part 1315.

(a) Definitions. As used in this clause—

“Department of Defense Activity Address Code (DoDAAC)” is a six position code that uniquely identifies a unit, activity, or organization.

“Document type” means the type of payment request or receiving report available for creation in Wide Area WorkFlow (WAWF).

“Local processing office (LPO)” is the office responsible for payment certification when payment certification is done external to the entitlement system.

“Payment Request” means any request for financing payment or invoice payment submitted by the COMPANY under this Agreement.

“Receiving Report” means the data prepared in the manner and to the extent required by Appendix F, Material Inspection and Receiving Report, of the Defense Federal Acquisition Regulation Supplement.

(b) Electronic invoicing. The WAWF system provides the method to electronically process vendor Payment Requests and receiving reports, as authorized by Defense Federal Acquisition Regulation Supplement (DFARS) 252.232-7003, Electronic Submission of Payment Requests and Receiving Reports.

(c) WAWF access. To access WAWF, the COMPANY shall—

(1) Have a designated electronic business point of contact in the System for Award Management at <https://www.sam.gov>; and

(2) Be registered to use WAWF at <https://wawf.eb.mil/> following the step-by-step procedures for self-registration available at this web site.

(d) WAWF training. The COMPANY should follow the training instructions of the WAWF Web-Based Training Course and use the Practice Training Site before submitting Payment Requests through WAWF. Both can be accessed by selecting the “Web Based Training” link on the WAWF home page at <https://wawf.eb.mil/>

(e) WAWF methods of document submission. Document submissions may be via web entry, Electronic Data Interchange, or File Transfer Protocol.

(f) WAWF payment instructions. The COMPANY shall use the following information when submitting Payment Requests and receiving reports in WAWF for any prototype project under this Agreement:

(1) Document type. The COMPANY shall submit Payment Requests using the following document type(s):

(i) For cost-type line items, including labor-hour or time-and-materials, submit a cost voucher.

(ii) For fixed price line items—

(A) That require shipment of a deliverable, submit the invoice and Receiving Report specified by the AO.

(Agreements Officer: Insert applicable invoice and Receiving Report document type(s) for fixed price line items that require shipment of a deliverable.)

(B) For services that do not require shipment of a deliverable, submit either the Invoice 2in1, which meets the requirements for the invoice and Receiving Report, or the applicable invoice and Receiving Report, as specified by the AO.

(Agreements Officer: Insert either “Invoice 2in1” or the applicable invoice and Receiving Report document type(s) for fixed price line items for services.

(iii) For customary progress payments based on costs incurred, submit a progress Payment Request.

(iv) For performance based payments, submit a performance based Payment Request.

(v) For commercial financing, submit a commercial financing request.

(3) Document routing. The COMPANY shall use the information in the Routing Data Table below only to fill in applicable fields in WAWF when creating Payment Requests and Receiving Reports in the system.

Routing Data Table

<i>Field Name in WAWF</i>	<i>Data to be entered in WAWF</i>
Pay Official DoDAAC	HQ0338
Issue By DoDAAC	N66604
Admin DoDAAC	TBD
Inspect By DoDAAC	N66604
Ship To Code	N66604
Ship From	N/A
Mark for Code	N/A
Service Approver (DoDAAC)	N/A
Service Acceptor (DoDAAC)	N/A
Accept at Other DoDAAC	N/A
LPO DoDAAC	N/A
DCAA Auditor DoDAAC	N/A
Other DoDAAC(s)	N/A

(4) Payment Request. The COMPANY shall ensure a Payment Request includes documentation appropriate to the type of Payment Request in accordance with the payment clause, contract financing clause, or Federal Acquisition Regulation 52.216-7, Allowable Cost and Payment, as applicable.

(5) Receiving Report. The COMPANY shall ensure a Receiving Report meets the requirements of DFARS Appendix F.

(g) WAWF point of contact.

(1) The COMPANY may obtain clarification regarding invoicing in WAWF from the following Contracting Activity's WAWF point of contact.

N/A

(2) Contact the WAWF helpdesk at 866-618-5988, if assistance is needed.

NOTE: WAWF Email Notification- The COMPANY shall enter the email address identified below in the "Send additional email notifications" field of WAWF once a document is submitted in the system.

To be determined at award.

G. Limitation of Funds: Except as set forth in Article XIX, the Government's financial liability will not exceed the amount obligated under this Agreement and available for payment.

H. Comptroller Access Financial Records and Reports (the following is applicable only in the event the award is over \$5,000,000.00). The COMPANY shall maintain adequate records to account for Federal funds received under this Agreement and shall maintain adequate records to account for COMPANY Project Agreement funding provided under this Agreement. COMPANY relevant financial records are subject to examination or audit by or on behalf of the Comptroller General, NUWCDIVNPT Contracting Activity, or other Government Official for a period not to exceed three (3) years after expiration of the term of the Agreement. The Comptroller General, AO or designee shall have direct access to sufficient records and information of any party to this Agreement or any entity that participates in the performance of this Agreement to ensure full accountability for all funding under this Agreement. Such audit, examination or access shall be performed during business hours on business days upon prior written notice and shall be subject to the security requirements of the audited party. Any audit required during the course of the Program may be conducted by the Comptroller General or other Government Official using Government auditors or, at the request of COMPANY's external CPA accounting firm at the expense of the COMPANY.

ARTICLE IX: ALLOWABLE COSTS

(a) Federal funds and any cost sharing funds are to be used only for costs that a reasonable and prudent person would incur in carrying out the project agreement.

(b) No project award will be made under this Agreement on a cost reimbursement basis unless the COMPANY performing under the project agreement has an accounting system that:

(1) is capable of identifying and segregating costs to individual agreements; and

(2) provides for an equitable allocation of indirect costs.

(c) When a COMPANY performing under this Agreement has a system capable of identifying

the amounts/costs, the COMPANY will identify the basis for determining actual costs.

(d) If a COMPANY performing under this Agreement is subject to Cost Accounting Standards on other agreements or contracts, then the allowable costs for project awards executed under this Agreement on a cost reimbursement basis are only allowable for reimbursement subject to the cost principles of Federal Acquisition Regulation (FAR) Part 31, Defense Federal Acquisition Regulation Supplement (DFARS) Part 231, and Navy and Marine Corps Acquisition Regulation Supplement (NMCARS) Part 5231, with all mention of COMPANY understood to mean the COMPANY and all mention of Contracting Officer understood to mean AO.

ARTICLE X: FUNDING BY MILESTONE

If a prototype project executed under this Agreement is funded by milestone, then the Government is not obligated to reimburse the COMPANY for costs incurred in excess of the total amount allotted by the Government to the prototype project and the COMPANY is not obligated to continue performance on the prototype project (including actions under the Termination clause of this Agreement) or otherwise incur costs in excess of --

(a) The amount then allotted to the prototype project by the Government or;

(b) If the prototype project involves cost-sharing, the amount then allotted by the Government to the prototype project plus the COMPANY's corresponding share, until the AO notifies the COMPANY in writing that the amount allotted by the Government has been increased and specifies an increased amount, which shall then constitute the total amount allotted by the Government to the prototype project.

ARTICLE XI: ACCEPTABLE COST SHARE

An acceptable Cost Share must be verifiable from financial records and must not be included as a cost sharing contribution for any other Federal Government contract vehicle. Cost Share cannot be paid by the Federal Government under another contract vehicle, except that Independent Research and Development (IR&D) costs that otherwise meet the Cost Share requirements of 10 U.S.C. § 4022 are allowable subject to the cost principles of FAR 31.205-18 applicable to IR&D costs.

RELEVANT TO ALL COST SHARE AND COST REIMBURSEMENT ARRANGEMENTS: In addition to any other financial reports provided or required, the COMPANY shall notify the AO immediately if any cost share contribution is not made as required.

ARTICLE XII: AGREEMENT CLOSE-OUT

(a) The COMPANY shall, at least 60 days prior to the expiration date of the prototype project award, contact the AO to establish:

- (1) All steps needed to close out the award; and
- (2) A schedule for completing those steps.

(b) The following provisions shall apply to the closeout:

- (1) The AO and Payment Office shall expedite completion of steps needed to close out awards and make prompt final payments to COMPANY.
- (2) The COMPANY shall account for any real property and personal property

acquired with Federal funds or received from the Federal Government in accordance with the terms of the Agreement.

(c) The closeout of this Agreement does not affect any of the following:

- (1) Any specified audit requirements.
- (2) Any specified property management requirements.
- (3) Records retention as required by the Agreement.

(d) After closeout of this Agreement, a responsibility or requirement created under this Agreement may be modified or ended in whole or in part with the consent of the AO.

ARTICLE XIII: FOLLOW-ON PRODUCTION

Follow-on production efforts may be executed under this Agreement in accordance with 10 U.S.C. § 4022, following successful completion of the resulting prototype project.

ARTICLE XIV: REGISTRATION IN THE SYSTEM FOR AWARD MANAGEMENT

The COMPANY shall hold a current, valid registration in the System for Award Management (SAM) throughout the life of this Agreement.

ARTICLE XV: COMPLIANCE WITH LAWS UNIQUE TO GOVERNMENT PROCUREMENT

The COMPANY agrees to comply with 31 U.S.C. § 1352 relating to limitations on the use of appropriated funds to influence certain Federal contracts; 18 U.S.C. § 431 relating to officials not to benefit; 40 U.S.C. chapter 37, Contract Work Hours and Safety Standards; 41 U.S.C. chapter 87, Kickbacks; 41 U.S.C. § 4712 and 10 U.S.C. § 2409 relating to whistleblower protections; 49 U.S.C. § 40118, Fly American; 41 U.S.C. chapter 21 relating to procurement integrity; and 22 U.S.C. Chapter 78 relating to Combating Trafficking in Persons.

ARTICLE XVI: COMPTROLLER GENERAL ACCESS TO INFORMATION

In projects that provide for payments in a total amount in excess of \$5,000,000, the Agreement will include a mandatory clause that provides for the Comptroller General the ability to examine the records of any party to the agreement or any entity that participates in the performance of the agreement.

ARTICLE XVI: PROCUREMENT INTEGRITY ACT (PIA)

As required by 10 U.S.C. §4022(h), all Agreements awarded under this CSO shall be treated as Federal Agency procurements for purpose of 41 U.S.C. Chapter 21. Accordingly, the CSO competitive solicitation process and awards made thereof must adhere to the ethical standards required by the PIA.

ARTICLE XVII: CHANGES

Changes in the terms and conditions of this Agreement or any prototype projects executed under this Agreement, except for minor or administrative corrections, may only be made by written agreement between the COMPANY and the AO.

ARTICLE XVIII: ORGANIZATIONAL CONFLICTS OF INTEREST

- (a) Throughout performance, the COMPANY shall monitor all potential conflicts of interest, to include conflicts between its members and the contractors currently developing for and operating the targeted prototype or information systems.
- (b) The COMPANY shall ensure prototype-level performance does not conflict with system development or enhancement being performed under other agreements or contracts.
- (c) The COMPANY shall immediately report all potential conflicts of interest to the Government. All white papers and proposals will address potential conflicts of interest and any proposed mitigation. The COMPANY agrees to include in all subagreements a clause requiring all subagreement holders to report all potential or real Organizational Conflict of Interests (OCI) to the Government.
- (d) The Government has the right to limit involvement under this Agreement or other action to mitigate OCI. In the event the COMPANY believes that the OCI can be mitigated, the COMPANY shall submit to the AO an OCI mitigation plan.

ARTICLE XIX: LIMITATION OF LIABILITY

- (a) With regard to the activities undertaken pursuant to this Agreement, no Party shall make any claim against the other, employees of the other, the others' related entities (e.g. contractors, subcontractors), or employees of the others' related entities for any injury to or death of its own employees or employees of its related entities, or for damage to or loss of its own property or that of its related entities, whether such injury, death, damage or loss arises through negligence or otherwise, except in the case of willful misconduct.
- (b) The Parties shall not be liable to each other for consequential, punitive, special and incidental damages or other indirect damages, whether arising in contract (including warranty), tort (whether or not arising from the negligence of a Party) or otherwise, except to the extent such damages are caused by a Party's willful misconduct.

ARTICLE XX: DUTY FREE ENTRY

- (a) *Definitions.* As used in this clause—

“Component,” means any item supplied to the Government as part of an end product or of another component.

“Customs territory of the United States” means the 50 States, the District of Columbia, and Puerto Rico.

“Eligible product” means—

(1) “Designated country end product,” as defined in the Trade Agreements (either basic or alternate) clause of this Agreement;

(2) *Free Trade Agreement country end product*, other than a Bahraini *end product*, a Moroccan *end product*, a Panamanian *end product*, or a Peruvian *end product*, as defined in the Buy American—Free Trade Agreements—Balance of Payments Program (either basic or alternate II) clause of this Agreement; or

(3) *Free Trade Agreement country end product* other than a *Bahraini end product, Korean end product, Moroccan end product, Panamanian end product, or Peruvian end product*, as defined in the Buy American—Free Trade Agreements—Balance of Payments Program (either alternate IV or alternate V) clause of this Agreement.

“Qualifying country” and “qualifying country end product” have the meanings given in the Trade Agreements clause, the Buy American and Balance of Payments Program clause, or the Buy American—Free Trade Agreements—Balance of Payments Program clause of this Agreement, basic or alternate.

(b) Except as provided in paragraph (i) of this clause, or unless supplies were imported into the customs territory of the United States before the date of this Agreement or the applicable subagreement, the price of this Agreement shall not include any amount for duty on—

(1) End items that are eligible products or qualifying country end products;

(2) Components (including, without limitation, raw materials and intermediate assemblies) produced or made in qualifying countries, that are to be incorporated in U.S.- made end products to be delivered under this Agreement; or

(3) Other supplies for which the COMPANY estimates that duty will exceed \$300 per shipment into the customs territory of the United States.

(c) The COMPANY shall—

(1) Claim duty-free entry only for supplies that the COMPANY intends to deliver to the Government under this Agreement, either as end items or components of end items; and

(2) Pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use, other than—

(i) Scrap or salvage; or

(ii) Competitive sale made, directed, or authorized by the Agreement Officer.

(d) Except as the COMPANY may otherwise agree, the Government will execute duty-free entry certificates and will afford such assistance as appropriate to obtain the duty-free entry of supplies—

(1) For which no duty is included in the Agreement price in accordance with paragraph (b) of this clause; and

(2) For which shipping documents bear the notation specified in paragraph (e) of this clause.

(e) For foreign supplies for which the Government will issue duty-free entry certificates in accordance with this clause, shipping documents submitted to Customs shall—

(1) Consign the shipments to the appropriate—

(i) Military department in care of the COMPANY, including the COMPANY’s delivery address; or

- (ii) Military installation; and
- (2) Include the following information:
 - (i) Prime Agreement number and, if applicable, delivery order number.
 - (ii) Number of the subagreement for foreign supplies, if applicable.
 - (iii) Identification of the carrier.
 - (iv)(A) For direct shipments to a U.S. military installation, the notation: "UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE Duty-Free Entry to be claimed pursuant to Section XXII, Chapter 98, Subchapter VIII, Item 9808.00.30 of the Harmonized Tariff Schedule of the United States. Upon arrival of shipment at the appropriate port of entry, District Director of Customs, please release shipment under 19 CFR part 142 and notify Defense Contract Management Agency (DCMA) St. Louis, St. Louis, MO, ATTN: Duty Free Entry Team, 1222 Spruce Street, Room 9.300, St. Louis, MO 63103-2812, for execution of Customs Form 7501, 7501A, or 7506 and any required duty-free entry certificates."
 - (B) If the shipment will be consigned to other than a military installation, e.g., a domestic COMPANY's plant, the shipping document notation shall be altered to include the name and address of the COMPANY, agent, or broker who will notify DCMA St. Louis, Duty Free Entry Team, for execution of the duty-free entry certificate. (If the shipment will be consigned to a COMPANY's plant and no duty-free entry certificate is required due to a trade agreement, the COMPANY shall claim duty-free entry under the applicable trade agreement and shall comply with the U.S. Customs Service requirements. No notification to DCMA St. Louis, Duty Free Entry Team, is required.)
 - (v) Gross weight in pounds (if freight is based on space tonnage, state cubic feet in addition to gross shipping weight).
 - (vi) Estimated value in U.S. dollars.
 - (vii) Activity address number of the contract administration office administering the prime Agreement, e.g., for DCMA Dayton, S3605A.
- (f) *Preparation of customs forms.*
 - (1)(i) Except for shipments consigned to a military installation, the COMPANY shall—
 - (A) Prepare any customs forms required for the entry of foreign supplies into the customs territory of the United States in connection with this Agreement; and
 - (B) Submit the completed customs forms to the District Director of Customs, with a copy to DCMA St. Louis, Duty Free Entry Team for execution of any required duty-free entry certificates.
 - (ii) Shipments consigned directly to a military installation will be released in accordance with sections 10.101 and 10.102 of the U.S. Customs regulations.

(2) For shipments containing both supplies that are to be accorded duty-free entry and supplies that are not, the COMPANY shall identify on the customs forms those items that are eligible for duty-free entry.

(g) The COMPANY shall—

(1) Prepare (if the COMPANY is a foreign supplier), or shall instruct the foreign supplier to prepare, a sufficient number of copies of the bill of lading (or other shipping document) so that at least two of the copies accompanying the shipment will be available for use by the District Director of Customs at the port of entry;

(2) Consign the shipment as specified in paragraph (e) of this clause; and

(3) Mark on the exterior of all packages—

(i) “UNITED STATES GOVERNMENT, DEPARTMENT OF DEFENSE”; and

(ii) The activity address number of the contract administration office administering the prime Agreement.

(h) The COMPANY shall notify the AO in writing of any purchase of eligible products or qualifying country supplies to be accorded duty-free entry, that are to be imported into the customs territory of the United States for delivery to the Government or for incorporation in end items to be delivered to the Government. The COMPANY shall furnish the notice to the AO immediately upon award to the supplier and shall include in the notice—

(1) The COMPANY’s name, address, and Commercial and Government Entity (CAGE) code;

(2) Prime Agreement number and, if applicable, delivery order number;

(3) Total dollar value of the prime Agreement or delivery order;

(4) Date of the last scheduled delivery under the prime Agreement or delivery order;

(5) Foreign supplier's name and address;

(6) Number of the subagreement for foreign supplies;

(7) Total dollar value of the subagreement for foreign supplies;

(8) Date of the last scheduled delivery under the subagreement for foreign supplies;

(9) List of items purchased;

(10) An agreement that the COMPANY will pay duty on supplies, or any portion thereof, that are diverted to nongovernmental use other than—

(i) Scrap or salvage; or

(ii) Competitive sale made, directed, or authorized by the AO;

(11) Country of origin; and

(12) Scheduled delivery date(s).

(i) This clause does not apply to purchases of eligible products or qualifying country supplies in connection with this Agreement if—

(1) The supplies are identical in nature to supplies purchased by the COMPANY or any subagreement holder in connection with its commercial business; and

(2) It is not economical or feasible to account for such supplies so as to ensure that the amount of the supplies for which duty-free entry is claimed does not exceed the amount purchased in connection with this Agreement.

(j) The COMPANY shall—

(1) Insert the substance of this clause, including this paragraph (j), in all subagreements for—

(i) Qualifying country components; or

(ii) Nonqualifying country components for which the COMPANY estimates that duty will exceed \$200 per unit;

(2) Require subagreement holders to include the number of this Agreement on all shipping documents submitted to Customs for supplies for which duty-free entry is claimed pursuant to this clause; and

(3) Include in applicable subagreements—

(i) The name and address of the AO for this Agreement;

(ii) The name, address, and activity address number of the contract administration office specified in this Agreement; and

(iii) The information required by paragraphs (h)(1), (2), and (3) of this clause.

ARTICLE XXI: NIST SP 800-171 DOD ASSESSMENT REQUIREMENTS

(a) *Definitions.*

Basic Assessment” means a COMPANY’s self-assessment of the COMPANY’s implementation of NIST SP 800-171 that—

(1) Is based on the COMPANY’s review of their system security plan(s) associated with covered COMPANY information system(s);

(2) Is conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology; and

(3) Results in a confidence level of “Low” in the resulting score, because it is a self-generated score.

“Covered COMPANY information system” has the meaning given in the clause 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this Agreement.

“High Assessment” means an assessment that is conducted by Government personnel using NIST SP 800-171A, Assessing Security Requirements for Controlled Unclassified Information that—

(1) Consists of—

- (i) A review of a COMPANY’s Basic Assessment;
- (ii) A thorough document review;
- (iii) Verification, examination, and demonstration of a COMPANY’s system security plan to validate that NIST SP 800-171 security requirements have been implemented as described in the COMPANY’s system security plan; and
- (iv) Discussions with the COMPANY to obtain additional information or clarification, as needed; and

(2) Results in a confidence level of “High” in the resulting score.

“Medium Assessment” means an assessment conducted by the Government that—

(1) Consists of—

- (i) A review of a COMPANY’s Basic Assessment;
- (ii) A thorough document review; and
- (iii) Discussions with the COMPANY to obtain additional information or clarification, as needed; and

(2) Results in a confidence level of “Medium” in the resulting score.

(b) *Applicability.* This clause applies to covered COMPANY information systems that are required to comply with the National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, in accordance with Defense Federal Acquisition Regulation System (DFARS) clause at 252.204-7012, Safeguarding Covered Defense Information and Cyber Incident Reporting, of this Agreement.

(c) *Requirements.* The COMPANY shall provide access to its facilities, systems, and personnel necessary for the Government to conduct a Medium or High NIST SP 800–171 DoD Assessment, as described in NIST SP 800–171 DoD Assessment Methodology at <https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800-171-Assessment-Methodology-Version-1.2.1-6.24.2020.pdf> , if necessary.

(d) *Procedures.* Summary level scores for all assessments will be posted in the Supplier Performance Risk System (SPRS) to provide DoD Components visibility into the summary level scores of strategic assessments.

(1) *Basic Assessments.* A COMPANY may submit, via encrypted email, summary level scores of Basic Assessments conducted in accordance with the NIST SP 800-171 DoD Assessment Methodology to for posting to SPRS.

(i) The email shall include the following information:

(A) Version of NIST SP 800-171 against which the assessment was conducted.

(B) Organization conducting the assessment (e.g., COMPANY self-assessment).

(C) For each system security plan (security requirement 3.12.4) supporting the performance of a DoD agreement—

(1) All industry Commercial and Government Entity (CAGE) code(s) associated with the information system(s) addressed by the system security plan; and

(2) A brief description of the system security plan architecture, if more than one plan exists.

(D) Date the assessment was completed.

(E) Summary level score (e.g., 95 out of 110, NOT the individual value for each requirement).

(F) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

(ii) If multiple system security plans are addressed in the email described at paragraph (d)(1)(i) of this section, the COMPANY shall use the following format for the report:

System Security Plan	CAGE Codes supported by this plan	Brief description of the plan architecture	Date of assessment	Total Score	Date score of 110 will be achieved

(2) *Medium and High Assessments.* DoD will post the following Medium and/or High Assessment summary level scores to SPRS for each system security plan assessed:

- (i) The standard assessed (e.g., NIST SP 800-171 Rev 1).
- (ii) Organization conducting the assessment, e.g., DCMA, or a specific organization (identified by Department of Defense Activity Address Code (DoDAAC)).
- (iii) All industry CAGE code(s) associated with the information system(s) addressed by the system security plan.
- (iv) A brief description of the system security plan architecture, if more than one system security plan exists.
- (v) Date and level of the assessment, i.e., medium or high.
- (vi) Summary level score (e.g., 105 out of 110, not the individual value assigned for each requirement).
- (vii) Date that all requirements are expected to be implemented (i.e., a score of 110 is expected to be achieved) based on information gathered from associated plan(s) of action developed in accordance with NIST SP 800-171.

(e) *Rebuttals.*

(1) DoD will provide Medium and High Assessment summary level scores to the COMPANY and offer the opportunity for rebuttal and adjudication of assessment summary level scores prior to posting the summary level scores to SPRS (see SPRS User's Guide https://www.sprs.csd.disa.mil/pdf/SPRS_Awardee.pdf).

(2) Upon completion of each assessment, the COMPANY has 14 business days to provide additional information to demonstrate that they meet any security requirements not observed by the assessment team or to rebut the findings that may be of question.

(f) *Accessibility.*

(1) Assessment summary level scores posted in SPRS are available to DoD personnel, and are protected, in accordance with the standards set forth in DoD Instruction 5000.79, Defense-wide Sharing and Use of Supplier and Product Performance Information (PI).

(2) Authorized representatives of the COMPANY for which the assessment was conducted may access SPRS to view their own summary level scores, in accordance with the SPRS Software User's Guide for Awardees.

(3) A High NIST SP 800-171 DoD Assessment may result in documentation in addition to that listed in this clause. DoD will retain and protect any such documentation as "Controlled Unclassified Information (CUI)" and intended for internal DoD use only. The information will be protected against unauthorized use and release, including through the exercise of applicable exemptions under the Freedom of Information Act (e.g., Exemption 4 covers trade secrets and commercial or financial information obtained from a COMPANY that is privileged or confidential).

(g) *Subagreement Holder.*

(1) The COMPANY shall insert the substance of this clause, including this paragraph (g), in all subagreements and other contractual instruments, including subagreements for the acquisition of commercial products or commercial services (excluding commercially available off-the-shelf).

(2) The Subagreement Holder shall not award a subagreement or other contractual instrument, that is subject to the implementation of NIST SP 800–171 security requirements, in accordance with DFARS clause 252.204–7012 of this Agreement, unless the subagreement holder has completed, within the last 3 years, at least a Basic NIST SP 800–171 DoD Assessment, as described in <https://www.acq.osd.mil/asda/dpc/cp/cyber/docs/safeguarding/NIST-SP-800-171-Assessment-Methodology-Version-1.2.1-6.24.2020.pdf> , for all covered COMPANY information systems relevant to its offer that are not part of an information technology service or system operated on behalf of the Government.

(3) If a subagreement holder does not have summary level scores of a current NIST SP 800-171 DoD Assessment (i.e., not more than 3 years old unless a lesser time is specified in the solicitation) posted in SPRS, the subagreement holder may conduct and submit a Basic Assessment, in accordance with the NIST SP 800-171 DoD Assessment Methodology, to <mailto:webptsmh@navy.mil> for posting to SPRS along with the information required by paragraph (d) of this clause.

ARTICLE XXII: COMPANY COMPLIANCE WITH THE CYBERSECURITY MATURITY MODEL

(a) Definitions. As used in this clause—

“Controlled unclassified information” means information the Government creates or possesses, or information an entity creates or possesses for or on behalf of the Government, that a law, regulation, or Governmentwide policy requires or permits an agency to handle using safeguarding or dissemination controls (32 CFR 2002.4(h)).

“Current” means—

(1) With regard to Conditional Cybersecurity Maturity Model Certification (CMMC) Status—

(i) Not older than 180 days for Conditional Level 2 (Self) assessments and Conditional Level 2 (certified third-party assessment organization (C3PAO)) assessments, with—

(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.16 and 170.17); and

(B) A corresponding affirmation of continuous compliance by an affirming official (see 32 CFR 170.4); and

(ii) Not older than 180 days for Conditional Level 3 (Defense Industrial Base Cybersecurity Assessment Center (DIBCAC)) assessments, with—

(A) No changes in compliance with the requirements at 32 CFR part 170 since the Conditional CMMC Status date (see 32 CFR 170.18); and

(B) A corresponding affirmation of continuous compliance by an affirming official;

(2) With regard to Final CMMC Status—

(i) Not older than 1 year for Final Level 1 (Self), with—

(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.15); and

(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official;

(ii) Not older than 3 years for Final Level 2 (Self) assessments and Final Level 2 (C3PAO) assessments, with—

(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.16 and 170.17); and

(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and

(iii) Not older than 3 years for Final Level 3 (DIBCAC) assessments, with—

(A) No changes in compliance with the requirements at 32 CFR part 170 since the Final CMMC Status date (see 32 CFR 170.18); and

(B) A corresponding affirmation of continuous compliance, not older than 1 year, by an affirming official; and

(3) With regard to affirmation of continuous compliance (32 CFR 170.22), not older than 1 year with no changes in compliance with the requirements at 32 CFR part 170.

“Cybersecurity Maturity Model Certification (CMMC) status” means the result of meeting or exceeding the minimum required score for the corresponding assessment. The potential statuses are as follows:

- (1) Final Level 1 (Self).
- (2) Conditional Level 2 (Self).
- (3) Final Level 2 (Self).
- (4) Conditional Level 2 (C3PAO).
- (5) Final Level 2 (C3PAO).
- (6) Conditional Level 3 (DIBCAC).
- (7) Final Level 3 (DIBCAC).

“Cybersecurity Maturity Model Certification unique identifier (CMMC UID)” means 10 alpha-numeric characters assigned to each CMMC assessment and reflected in the Supplier Performance Risk System (SPRS) for each COMPANY information system.

“Federal contract information (FCI)” means information, not intended for public release, that is provided by or generated for the Government under a contract to develop or deliver a product or service to the

Government. It does not include information provided by the Government to the public, such as on public websites, or simple transactional information, such as information necessary to process payments.

“Plan of action and milestones” means a document that identifies tasks to be accomplished. It details resources required to accomplish the elements of the plan, any milestones in meeting the tasks, and scheduled completion dates for the milestones, as defined in National Institute of Standards and Technology Special Publication 800-115 (32 CFR 170.21).

(b) Framework. The Cybersecurity Maturity Model Certification (CMMC) is a framework for assessing a COMPANY’s compliance with applicable information security protections (see 32 CFR part 170).

(c) Duplication. The CMMC assessments will not duplicate efforts from any other comparable DoD assessment, except for rare circumstances when a reassessment may be necessary, for example, when there are indications of issues with cybersecurity and/or compliance with CMMC requirements.

(d) *Requirements.* The COMPANY shall—

(1)(i) Have and maintain for the duration of the Agreement a current CMMC status at the following CMMC level, or higher: _____ [*Agreement Officer insert: CMMC Level 1 (Self); CMMC Level 2 (Self); CMMC Level 2 (C3PAO); or CMMC Level 3 (DIBCAC)*] for all information systems used in performance of the Agreement, task order, or delivery order that process, store, or transmit FCI or CUI; and

(ii) Consult 32 CFR 170.23 related to the flowdown of the CMMC requirements, and flow down the correct CMMC level to subagreement and other contractual instruments;

(2) Only process, store, or transmit FCI or CUI on COMPANY information systems that have a CMMC status at the CMMC level required in paragraph (d)(1) of this clause, or higher;

(3) Complete on an annual basis, and maintain as current, an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required in paragraph (d)(1) of this clause in the Supplier Performance Risk System (SPRS) (<https://piee.eb.mil>) for each CMMC UID applicable to each of the COMPANY information systems that process, store, or transmit FCI or CUI and that are used in performance of the Agreement;

(4) Ensure all subagreement holder and suppliers complete prior to subagreement award, and maintain on an annual basis, an affirmation, by the affirming official (see 32 CFR 170.4), of continuous compliance with the requirements associated with the CMMC level required for the subagreement or other contractual instrument for each of the subagreement information systems that process, store, or transmit FCI or CUI and that are used in performance of the subagreement; and

(5) If the COMPANY has a CMMC Status of Conditional, successfully close out a valid plan of action and milestones (32 CFR 170.21) to achieve a CMMC Status of Final.

(e) Reporting. The COMPANY shall—

(1) Submit to the AO—

(i) The CMMC UID(s) issued by SPRS for COMPANY information systems that will process, store, or transmit FCI or CUI during performance of the Agreement; and

(ii) Any changes in the CMMC UIDs generated in SPRS throughout the life of the Agreement, task order, or delivery order, if applicable;

(2) Enter into SPRS the results of a current self-assessment for each CMMC UID, not covered by a C3PAO assessment or DIBCAC assessment, applicable to each of the COMPANY information systems that process, store, or transmit FCI or CUI and that are used in performance of the Agreement; and

(3) Complete in SPRS on an annual basis and maintain as current an affirmation of continuous compliance by the affirming official (see 32 CFR 170.4) for each self-assessment, C3PAO assessment, or DIBCAC assessment required under the Agreement in SPRS.

(f) *Subagreements.* The COMPANY shall—

(1) Insert the substance of this clause, including this paragraph (f) and excluding paragraph (e)(1), in subagreements and other contractual instruments, including those for the acquisition of commercial products and commercial services, excluding commercially available off-the-shelf items, if the subagreement or other contractual instrument will contain a requirement to process, store, or transmit FCI or CUI; and

(2) Prior to awarding a subagreement or other contractual instrument, ensure that the subagreement holder has a current CMMC certificate or current CMMC status at the CMMC level that is appropriate for the information that is being flowed down to the subagreement holder based on the requirements at 32 CFR 170.23.

ARTICLE XXIII: SECURITY PROHIBITIONS AND EXCLUSIONS REPRESENTATIONS AND CERTIFICATIONS

(a) *Definitions.* As used in this provision—

Backhaul, covered article, covered telecommunications equipment or services, critical technology, FASCSA order, Intelligence community, interconnection arrangements, national security system, roaming, sensitive compartmented information, sensitive compartmented information system, source, and substantial or essential component have the meanings provided in the clause 52.240-91, Security Prohibitions and Exclusions.

Business operations means engaging in commerce in any form, including by acquiring, developing, maintaining, owning, selling, possessing, leasing, or operating equipment, facilities, personnel, products, services, personal property, real property, or any other apparatus of business or commerce.

Marginalized populations of Sudan means—

(1) Adversely affected groups in regions authorized to receive assistance under section 8(c) of the Darfur Peace and Accountability Act (Pub. L. 109-344) (50 U.S.C. 1701 note); and

(2) Marginalized areas in Northern Sudan described in section 4(9) of such Act.

Restricted business operations means business operations in Sudan that include power production activities, mineral extraction activities, oil-related activities, or the production of military equipment, as those terms are defined in the Sudan Accountability and Divestment Act of 2007 (Pub. L. 110-174). Restricted business operations do not include business operations that the person (as that term is defined in Section 2 of the Sudan Accountability and Divestment Act of 2007) conducting the business can demonstrate—

- (1) Are conducted under contract directly and exclusively with the regional government of southern Sudan;
- (2) Are conducted under specific authorization from the Office of Foreign Assets Control in the Department of the Treasury, or are expressly exempted under Federal law from the requirement to be conducted under such authorization;
- (3) Consist of providing goods or services to marginalized populations of Sudan;
- (4) Consist of providing goods or services to an internationally recognized peacekeeping force or humanitarian organization;
- (5) Consist of providing goods or services that are used only to promote health or education; or
- (6) Have been voluntarily suspended.

Sensitive technology—

- (1) Means hardware, software, telecommunications equipment, or any other technology that is to be used specifically—
 - (i) To restrict the free flow of unbiased information in Iran; or
 - (ii) To disrupt, monitor, or otherwise restrict speech of the people of Iran; and
- (2) Does not include information or informational materials the export of which the President does not have the authority to regulate or prohibit pursuant to section 203(b)(3) of the International Emergency Economic Powers Act (50 U.S.C. 1702(b)(3)).

(b) *Procedures.*

(1) *Covered telecommunications and video surveillance.* The COMPANY shall review the list of excluded parties in the System for Award Management (SAM) at <https://www.sam.gov> for entities excluded from receiving federal awards for “covered telecommunications equipment or services.”

(2) *FASCSA Orders.*

- (i) The COMPANY shall search in SAM for the phrase “FASCSA order” for any covered article, or any products or services produced or provided by a source, if there is an applicable FASCSA order described in paragraph (e) of FAR 52.240-91, Security Prohibitions and Exclusions.
- (ii) The COMPANY shall review the solicitation for any FASCSA orders that are not in SAM but are effective and apply to the solicitation and resultant agreement (see FAR 40.204-1(c)(2)).
- (iii) FASCSA orders issued after the date of solicitation do not apply unless added by an amendment to the solicitation.

(c) *Covered telecommunications equipment or services representations.* By submission of its offer, the COMPANY represents that, after conducting a reasonable inquiry (that looks at any information in the COMPANY’s possession but does not need to include an internal or third-party audit)—

- (1) It will not provide covered telecommunications equipment or services to the Government in the performance of any agreement, subagreement or other agreement instrument resulting from this solicitation, except as waived by the solicitation, or as disclosed in paragraph (g); and

(2) It does not use covered telecommunications equipment or services, or use any equipment, system, or service that uses covered telecommunications equipment or services, except as waived by the solicitation, or as disclosed in paragraph (g).

(d) *FASCSA Representation.* By submission of this offer, the COMPANY represents that it has conducted a reasonable inquiry, and that the COMPANY does not propose to provide or use in response to this solicitation any covered article, or any products or services produced or provided by a source, if the covered article or the source is prohibited by an applicable FASCSA order in effect on the date the solicitation was issued, except as waived by the solicitation, or as disclosed in paragraph (g). A reasonable inquiry will look at any information in the COMPANY's possession but does not need to include an internal or third-party audit.

(e) *Sudan certification.* By submission of its offer, the COMPANY certifies, after conducting a reasonable inquiry (that looks at any information in the COMPANY's possession but does not need to include an internal or third-party audit), that the COMPANY does not conduct any restricted business operations in Sudan.

(f) *Iran Representation and Certifications.*

(1) Except as provided in paragraph (f)(2) of this provision or if a waiver has been granted in accordance with FAR 40.203-3, the COMPANY, after conducting a reasonable inquiry (that looks at any information in the COMPANY's possession but does not need to include an internal or third-party audit), by submission of its offer—

(i) Represents, to the best of its knowledge and belief, that the COMPANY does not export any sensitive technology to the government of Iran or any entities or individuals owned or controlled by, or acting on behalf or at the direction of, the government of Iran;

(ii) Certifies that the COMPANY, or any person (as defined at section 15 of the Iran Sanctions Act of 1996, Pub. L. 104-172, 50 U.S.C. 1701 note) owned or controlled by the COMPANY, does not engage in any activities for which sanctions may be imposed under section 5 of the Act. These sanctioned activities are in the areas of development of the petroleum resources of Iran, production of refined petroleum products in Iran, sale and provision of refined petroleum products to Iran, and contributing to Iran's ability to acquire or develop certain weapons or technologies; and

(iii) Certifies that the COMPANY, and any person owned or controlled by the COMPANY, does not knowingly engage in any transaction that exceeds \$15,000 with Iran's Revolutionary Guard Corps or any of its officials, agents, or affiliates, the property and interests in property of which are blocked pursuant to the International Emergency Economic Powers Act (50 U.S.C. 1701 et seq.) (see OFAC's Specially Designated Nationals and Blocked Persons List at <https://www.treasury.gov/resource-center/sanctions/SDN-List/Pages/default.aspx>)

(2) Exception for trade agreements. The representation and certification requirements of paragraph (f)(1) of this provision do not apply if—

(i) This solicitation includes a trade agreements notice or certification (e.g., 52.225-6, Trade Agreements Certificate); and

(ii) The COMPANY has certified that all the offered products to be supplied are designated country end products or designated country construction material.

(iii) The COMPANY shall email questions concerning sensitive technology to the Department of State at CISADA106@state.gov.

(g) *Disclosure.*

(1) If the COMPANY is not able to represent compliance with the prohibitions in paragraphs (c) or (d), then the COMPANY shall disclose within 72 hours to the contracting office identified in paragraph (g)(2) the following information for each product or service not compliant:

- (i) Agreement number and order number, if applicable;
- (ii) Identification of whether this disclosure relates to paragraph (c) on covered telecommunication equipment or services, or to paragraph (d) on FASCSA orders;
- (iii) A description of the products or services that the COMPANY identifies or has reason to suspect is prohibited (include brand; model number, such as the original equipment manufacturer (OEM) number, manufacturer part number, or wholesaler number; and item description, as applicable);
- (iv) The entity that produced the product or service (include entity name, unique entity identifier, COMPANY and Government Entity (CAGE) code, facilities responsible for design, fabrication, assembly, packaging, and test of the product, and whether the entity was the OEM or a distributor (provide manufacturer codes and distributor codes used for the product));
- (v) Description of the functionality of the product or service and how that functionality impacts the risk to the product or service;
- (vi) An explanation of any factors relevant to determining if the product or service should be permitted by an applicable exception, exemption, or waiver (if the COMPANY would like the Government to consider a waiver);
- (vii) Whether alternative products or services are available that would be compliant with the prohibition;
- (viii) If the product or service is related to item maintenance, include the following information on the item being maintained:
 - (A) Brand;
 - (B) Model number, OEM number, manufacturer part number, or wholesaler number; and
 - (C) Item description, as applicable.

(ix) Any readily available information about mitigation actions undertaken or recommended.

(2) If a disclosure is required to be submitted to a contracting office, the COMPANY shall submit the disclosure as follows:

(i) If a Department of Defense contracting office, the COMPANY shall submit the disclosure to the website at <https://dibnet.dod.mil>.

(ii) For all other contracting offices, the COMPANY shall submit the disclosure to the AO.

(3) If the disclosure provided does not contain any of the information required by paragraph (1), and the COMPANY later discovers new information that is required by paragraph (1), then the COMPANY shall submit a subsequent disclosure within 72 hours of discovering the new information.

(h) *Executive agency review of disclosures.* The AO will review disclosures provided in paragraph (g) to determine if any applicable waiver may be sought. The AO may choose not to pursue a waiver and may instead make an award to a COMPANY that does not require a waiver.

ARTICLE XXIV: DISPUTES

A. General

The Parties shall communicate with one another in good faith and in a timely and cooperative manner when raising issues under this Article.

B. Dispute Resolution Procedures

Any disagreement, claim or dispute between the Government and the COMPANY concerning questions of fact or law arising from or in connection with this Agreement, and, whether or not involving an alleged breach of this Agreement, may be raised only under this Article.

Whenever disputes, disagreements, or misunderstandings arise, the Parties shall attempt to resolve the issue(s) involved by discussion and mutual agreement as soon as practicable. In no event shall a dispute, disagreement or misunderstanding which arose more than three (3) months prior to the notification made under this Article constitute the basis for relief under this Article unless the Chief of the Contracting Office, in the interest of justice, waives this requirement.

Failing resolution by mutual agreement, the aggrieved Party shall document the dispute, disagreement, or misunderstanding by notifying the other Party through the cognizant AO in writing documenting the relevant facts, identifying unresolved issues, specifying the clarification or remedy sought, and documenting the rationale as to why the clarification/remedy is appropriate. Within ten (10) working days after providing notice to the other Party, the aggrieved Party may, in writing, request a decision by the Director of Contracting, DIU. The other Party shall submit a written position on the matter(s) in dispute within ten (10) calendar days after being notified that a decision has been requested. The Director of Contracting, DIU, will conduct a review of the matter(s) in dispute and render a decision in writing within ten (10) calendar days of receipt of such position. Any such decision is final and binding, unless a Party shall, within ten (10) calendar days request further review as provided by this Article.

If requested within thirty (30) calendar days of the decision by the Director of Contracting, DIU, further review will be conducted by the COMPANY Chief Executive Officer and the DIU Director of Contracting. In the event of a decision, or in absence of a decision within sixty (60) calendar days of referral to the President of the COMPANY Board and the DIU Director of Contracting (or such other period as agreed to by the Parties), either Party may pursue any right or remedy provided by law. Alternatively, the Parties may agree to explore and establish an Alternate Disputes Resolution procedure to resolve this dispute.

ARTICLE XXV: PROPRIETARY INFORMATION

A. Definitions

“Disclosing Party” means COMPANY, or their subagreement holders or suppliers, or the Government who discloses Proprietary Information as contemplated by the subsequent Paragraphs.

“Receiving Party” means COMPANY, or their subagreement holders or suppliers, or the Government who receives Proprietary Information disclosed by a Disclosing Party.

“Proprietary Information” means information and materials of a Disclosing Party which are designated as Proprietary or as a Trade Secret in writing by such Disclosing Party, whether by letter or by use of an appropriate stamp or legend, prior to or at the same time any such information or materials are disclosed by such Disclosing Party to the Receiving Party. Notwithstanding the foregoing, materials and other information which are orally, visually, or electronically disclosed by a Disclosing Party, or are disclosed in writing without an appropriate letter, stamp, or legend, shall constitute Proprietary Information or a Trade Secret if such Disclosing Party, within thirty (30) calendar days after such disclosure, delivers to the Receiving Party a written document or documents describing the material or information and indicating that it is Proprietary or a Trade Secret, provided that any disclosure of information by the Receiving Party prior to receipt of such notice shall not constitute a breach by the Receiving Party of its obligations under this Paragraph. “Proprietary Information” includes any information and materials considered a Trade Secret by the COMPANY on its own behalf or on behalf of their subagreement holders or suppliers.

“Trade Secret” means all forms and types of financial, business, scientific, technical, economic, or engineering or otherwise proprietary information, including, but not limited to, patterns, plans, compilations, program devices, formulas, designs, prototypes, methods, techniques, processes, procedures, programs, or codes, whether tangible or intangible, and whether or how stored, compiled, or memorialized physically, electronically, graphically, photographically, or in writing if:

- (a) The owner thereof has taken reasonable measures to keep such information secret; and
- (b) The information derives independent economic value, actual or potential, from not being generally known to, and not being readily ascertainable through proper means by, the public.

B. Exchange of Information:

The Government may from time to time disclose Government Proprietary Information to the COMPANY and its subagreement holders or suppliers, in connection with a particular project, and the COMPANY and its subagreement holders or suppliers, may from time to time disclose information that is a Trade Secret or Proprietary Information to the Government in connection with the Agreement or performance thereunder. Neither the Government nor COMPANY or their subagreement holders or suppliers shall be obligated to transfer Proprietary Information or Trade Secrets independently developed by the Government or the COMPANY or their subagreement holders or suppliers, absent an express written agreement between the Parties providing the terms and conditions for such disclosure.

C. Confidentiality and Authorized Disclosure:

The Receiving Party agrees, to the extent permitted by law, that Proprietary Information and Trade Secrets shall remain the property of the Disclosing Party (no one shall disclose unless they have the right to do so), and that, unless otherwise agreed to by the Disclosing Party, Proprietary Information and Trade Secrets shall not be disclosed, divulged, or otherwise communicated by it to third parties or used by it for any purposes other than in connection with specified project efforts and the licenses granted in Article XXVII, Data Rights, and Article XXVIII, Patent Rights, provided that the duty to protect such “Proprietary Information” and “Trade Secrets” shall not extend to materials or information that:

- (a) Are received or become available without restriction to the Receiving Party under a proper, separate agreement,
- (b) Are not identified with a suitable notice or legend per Article entitled "Proprietary Information" herein,
- (c) Are lawfully in possession of the Receiving Party without such restriction to the Receiving Party at the time of disclosure thereof as demonstrated by prior written records,
- (d) Are or later become part of the public domain through no fault of the Receiving Party,
- (e) Are received by the Receiving Party from a third party having no obligation of confidentiality to the Disclosing Party that made the disclosure,
- (f) Are developed independently by the Receiving Party without use of Proprietary Information or Trade Secrets as evidenced by written records, or
- (g) Are required by law or regulation to be disclosed; provided, however, that the Receiving Party has provided written notice to the Disclosing Party promptly so as to enable such Disclosing Party to seek a protective order or otherwise prevent disclosure of such information.

D. Return of Proprietary Information:

Upon the request of COMPANY, the Government shall promptly return all copies and other tangible manifestations of the Proprietary Information or Trade Secrets disclosed. Upon request by the Government, COMPANY shall promptly return all copies and other tangible manifestations of the Proprietary Information disclosed by the Government. As used in this section, tangible manifestations include human readable media as well as magnetic and digital storage media.

E. Term:

Except to the extent covered by and subject to other provisions of this Agreement, the obligations of the Receiving Party under this Article shall continue for a period of five (5) years after the expiration or termination of this Agreement.

The Government and the COMPANY shall flow down the requirements of this Article XXV to their respective personnel, agents, partners, team members, subagreement holders and suppliers receiving such Proprietary Information or Trade Secrets under this Agreement.

ARTICLE XXVI: PUBLICATION AND ACADEMIC RIGHTS

A. Use of Information:

Subject to the provisions of Article XXV, Proprietary Information, and this Article XXVI, Publication and Academic Rights, the COMPANY and the Government shall have the right to publish or otherwise disclose information and/or data developed by the Government and/or the COMPANY under this Agreement. The COMPANY and the Government (and its employees) shall include an appropriate acknowledgement of the sponsorship of the prototype projects by the Government and the COMPANY in such publication or disclosure. The Parties shall have only the right to use, disclose, and exploit any such data and Proprietary Information or Trade Secrets in accordance with the rights held by them pursuant to this Agreement. Notwithstanding the above, the Parties shall not be deemed authorized by this paragraph, alone, to disclose any Proprietary Information or Trade Secrets of the Government or the COMPANY. The Parties shall provide the opportunity to review, comment, and concur on non-sensitive information disclosed to third parties (e.g. media outlets). Concurrence can be assumed if after seven (7) days the Receiving Party does not provide objection to the information being disclosed to the third party.

B. Classified Research Projects:

If a release of Proprietary Information or Trade Secrets is for a classified Research Project, the provisions of the DoD Security Agreement (DD Form 441), Certificate Pertaining to Foreign Interests (SF 328), and the DoD Contract Security Classification Specification (DD Form 254) apply. The Government will be responsible for the completion of the DD Form 254. The COMPANY member must complete the DD Form 441 and SF 328 and provide them to the Government for review by the proper Government representatives, the Industrial Security Representative at the cognizant Defense Security Service (DSS) office for DD Form 441 and SF 328 and the local government security office for the DD Form 254.

C. Review or Approval of Technical Information for Public Release.

(a) At least thirty (30) days prior to the scheduled release date, COMPANY shall submit to the AO two (2) copies of the information, who will route the information to the AOR and other appropriate parties for review and approval.

(b) Where the COMPANY has Academic Research Institutions performing fundamental research on campus, the COMPANY shall require the same to provide papers and publications for

provision to the AOR, through the AO, for review and comment 30 days prior to formal paper/publication submission. However, if that Academic Research Institution incorporates into its research results or publications artifacts produced by and provided to these institutions by the COMPANY on behalf of other non-educational institutions or has authors listed on the paper who are not employees or students of the Academic Research Institution then the procedures in PARAGRAPH (a) ABOVE must be followed.

(c) Parties to this Agreement are responsible for assuring that an acknowledgment of Government support will appear in any publication of any material based on or developed under this Agreement, using the following acknowledgement terms:

“Effort sponsored by the U.S. Government under Other Transaction Authority Agreement number N66604-FY-9-xxxx between the INSERT COMPANY NAME and the Government. The U.S. Government is authorized to reproduce and distribute reprints for Governmental purposes notwithstanding any copyright notation thereon.”

(d) Parties to this Agreement are also responsible for assuring that every publication of material based on or developed under this Agreement or project hereunder contains the following disclaimer:

“The views and conclusions contained herein are those of the authors and should not be interpreted as necessarily representing the official policies or endorsements, either expressed or implied, of the U.S. Government.”

The COMPANY shall flow down these requirements to its subagreement holders and at all tiers.

ARTICLE XXVII: DATA RIGHTS

A. Definitions

“Commercial Computer Software” means software developed or regularly used for non-governmental purposes which -

- (i) Has been sold, leased, or licensed to the public;
- (ii) Has been offered for sale, lease, or license to the public;
- (iii) Has not been offered, sold, leased, or licensed to the public but will be available for commercial sale, lease, or license in time to satisfy the delivery requirements of this Agreement; or
- (iv) Satisfies a criterion expressed in paragraph (a)(1) (i), (ii), or (iii) of this clause and would require only minor modification to meet the requirements of this Agreement.

“Commercial Computer Software License” means the license terms under which Commercial Computer Software is sold or offered for sale, lease or license to the general public.

“Computer Data Base” as used in this Agreement, means a collection of data recorded in a form capable of being processed by a computer. The term does not include computer software.

“Computer program” as used in this Agreement means a set of instructions, rules, or routines in a form that is capable of causing a computer to perform a specific operation or series of operations.

“Computer software” as used in this Agreement means computer programs, source code, source code listings, object code listings, design details, algorithms, processes, flow charts, formulae and related material that would enable the software to be reproduced, recreated or recompiled. Computer software does not include computer data bases or computer software documentation.

“Computer software documentation” means owner’s manuals, user’s manuals, installation instructions, operating instructions, and other similar items, regardless of storage medium, that explain the capabilities of the computer software or provide instructions for using the software.

“Data” as used in this Article of this Agreement, means computer software, computer software documentation, form, fit and function data, and technical data as defined in this Article.

“Form, fit and function data” means technical data that describes the required overall physical, functional and performance characteristics (along with the qualification requirements, if applicable) of an item, component, or process to the extent necessary to permit identification of physically and functionally interchangeable items.

“Government purpose rights” means the rights to use, modify, duplicate or disclose the “Data” licensed with such rights under this Agreement within the Government for United States Government purposes only; and to release or disclose data outside the Government to any authorized persons pursuant to an executed non-disclosure agreement for such persons’ use, modification, or reproduction for United States Government purposes only. United States Government purposes include Foreign Military Sales purposes and competitive re-procurement.

“Limited rights” means the rights to use, modify, reproduce, release, perform, display, or disclose technical data, in whole or in part, within the Government. The Government may not, without the written permission of the party asserting limited rights, release or disclose the technical data outside the Government, use the technical data for manufacture, or authorize the technical data to be used by another party, except that the Government may reproduce, release, or disclose such data or authorize the use or reproduction of the data by persons outside the Government if -

(i) The reproduction, release, disclosure, or use is -

(A) Necessary for emergency repair and overhaul; or

(B) A release or disclosure to -

(1) A covered Government support COMPANY in performance of its covered Government support Agreement for use, modification, reproduction, performance, display, or release or disclosure to a person authorized to receive limited rights technical data; or

(2) A foreign government, of technical data other than detailed manufacturing or process data, when use of such data by the foreign government is in the interest of the Government and is required for evaluation or informational purposes;

(ii) The recipient of the technical data is subject to a prohibition on the further reproduction, release, disclosure, or use of the technical data; and

(iii) The COMPANY or subagreement holder asserting the restriction is notified of such reproduction, release, disclosure, or use.

“Restricted rights” means the granting of rights as it applies to software developed exclusively with private funds. Under a grant of Restricted Rights, the Government’s rights are limited, whereby the

Government may i) use the software on one computer or terminal at a time, ii) transfer the software to another Government agency, iii) make minimum copies for backup, iv) modify the software only for its own use or backup, and v) allow the COMPANY to maintain the software.

“Specially Negotiated License Rights” are those rights to Data that have been specifically negotiated between the Government and the COMPANY or reflected in the COMPANY asserted Agreement appendix.

“Technical data” means recorded information, regardless of the form or method of the recording, of a scientific or technical nature (including computer software documentation). The term does not include computer software or data incidental to Agreement administration, such as financial and/or management information.

“Unlimited rights” means the granting of rights applies to software developed exclusively with Government funds. Under a grant of Unlimited Rights, the Government can exercise the rights to use, modify, reproduce, release, perform, display, or disclose the software to anyone without restriction. The Government gains all rights in the software, short of actual ownership.

B. Data Categories

1. Category A is Data developed and paid for totally by non-Governmental funds, whether pre-existing or concurrently developed proprietary data, trade secret data, or data related to COMPANY products. The COMPANY retains all rights to Category A Data.
2. Category B is any Data developed under this Agreement, using Government funds, which cannot be disclosed without compromising the Category A data.
3. Category C is any COMPANY developed Data, excluding Category A and B data, developed during the performance of work under this Agreement.
4. Category D is third party proprietary data used in performance of work under this Agreement, including but not limited to, technical data, software, trade secrets and mask works.

Any Data developed outside of this Agreement with Government funding in whole or in part under a Government agreement, contract or subcontract shall have the rights negotiated under such agreement, contract or subcontract; the Government shall get no additional rights in such Data under this Agreement.

C. Allocation of Principal Rights

1. The Parties agree that in consideration for the Government’s funding, and in lieu of any Government rights to Category A, B or D data (except as contained in paragraph 4 below), the COMPANY intends to reduce to practical application materials and processes developed under this Agreement.
2. No deliveries to the Government of Category A and B data are contemplated or required under this Agreement unless necessary for performance or operation. The Government reserves the right to negotiate certain rights in Category A and B data with the owner of the data.
3. The Government shall have immediate and irrevocable Government Purpose Rights to all Category C Data.
4. The COMPANY shall deliver third-party computer software, Category D data, as required for the performance or operation of other computer software required to be delivered in the performance of this Agreement, with such rights as it is able to negotiate with the software vendor.

5. Data that will be delivered, furnished, or otherwise provided to the Government under this Agreement, in which the Government has previously obtained rights, shall be delivered, furnished, or provided with the pre-existing rights, unless (a) the parties have agreed otherwise, or (b) any restrictions on the Government's rights to use, modify, reproduce, release, perform, display, or disclose the data have expired or no longer apply.

D. Identification of Principal Rights

Identify Data Rights Assertions below:

Data to be provided with Restrictions	Data Rights Category	Basis for Assertion
(LIST EACH ITEM INDIVIDUALLY)	(LIST EACH ITEM INDIVIDUALLY)	(LIST EACH ITEM INDIVIDUALLY)

E. Marking of Data

Any Data delivered under this Agreement shall be marked with the following legend: "This Data is being delivered as Category (insert category) Data, as defined in Agreement ENTER AGREEMENT NUMBER. Use, duplication, or disclosure is subject to the restrictions as stated in Agreement ENTER AGREEMENT NUMBER between the COMPANY and the Government."

In the event that the COMPANY learns of a release to the Government of its unmarked Data that should have contained a restricted legend, the COMPANY will have the opportunity to cure such omission going forward by providing written notice to the AO within six (6) months of the erroneous release.

F. Prior Technology

1. In the event it is necessary for the COMPANY to furnish the Government with Data which existed prior to, or was produced outside of this Agreement, and such Data embodies trade secrets or comprises commercial or financial information which is privileged or confidential, and such Data is so identified with a suitable notice or legend, the Data will be maintained in confidence and disclosed and used by the Government and such companies or employees that the Government may hire on a temporary or periodic basis only for the purpose of carrying out the Government's responsibilities under this Agreement. Data protection will include proprietary markings and handling, and the signing of nondisclosure agreements by such companies or employees. The COMPANY shall not be obligated to provide Data that existed prior to, or was developed outside of this Agreement to the Government. Upon completion of activities under this Agreement, such Data will be disposed of as requested by the COMPANY.

2. Oral and Visual Information: If information which the COMPANY considers to embody trade secrets or to comprise commercial or financial information which is privileged or confidential is expressly disclosed orally or visually directly to the Government, the exchange of such information must be memorialized in tangible, recorded form and marked with a suitable notice or legend, and furnished to the Government within thirty (30) calendar days after such oral or visual disclosure, or the Government shall have no duty to limit or restrict, and shall not incur any liability for any disclosure and use of such information. If the Government reasonably determines that the memorialization of the exchange is insufficiently detailed to enable it to identify the privileged or confidential information, COMPANY shall provide addition detail at the Government's request, subject to restrictions on use and disclosure.

3. Disclaimer of Liability: Notwithstanding the above, the Government shall not be restricted in, nor incur any liability for, the disclosure and use of:

(a) Data not identified with a suitable notice or legend as set forth in this Article; or

(b) Information contained in any Data for which disclosure and use is restricted, if such information is or becomes generally known without breach of the above, is properly known to the Government or is generated by the Government independent of carrying out responsibilities under this Agreement, is rightfully received from a third party without restriction, or is included in Data which the COMPANY has furnished, or is required to furnish to the Government without restriction on disclosure and use.

Notwithstanding F.3.(a) of this Article above, if the COMPANY cures the omission of the suitable notice or legend, the restrictions, and related liability for disclosure and use of such information shall apply after cure unless it is then unrestricted under F.3(b) of this Article above.

G. Copyright

The COMPANY reserves the right to protect by copyright works developed under this Agreement. All such copyrights will be in the name of the COMPANY or the author, as determined by COMPANY policies. The COMPANY hereby grants to the U.S. Government a non-exclusive, non-transferable, royalty-free, fully paid-up license to reproduce, prepare derivative works, distribute copies to the public, and perform publicly and display publicly, for Governmental purposes, any copyrighted materials developed (excluding Data) under this Agreement to which it owns the copyright, and to authorize others to do so.

H. Lower Tier Agreements

The COMPANY shall include this Article, suitably modified to identify the Parties, in all subcontracts or lower tier agreements, regardless of tier, for experimental, developmental, or research work.

I. Survival Rights

Provisions of this Article shall survive termination of this Agreement.

ARTICLE XXVIII: PATENT RIGHTS

A. Definitions

“Invention” means any invention or discovery which is or may be patentable or otherwise protectable under Title 35 of the United States Code.

“Made” when used in relation to any invention means the conception or first actual reduction to practice of such invention.

“Practical application” means to manufacture, in the case of a composition of product; to practice, in the case of a process or method, or to operate, in the case of a machine or system; and in each case, under such conditions as to establish that the invention is capable of being utilized and that its benefits are, to the extent permitted by law or Government regulations, available to the public on reasonable terms.

“Subject Invention” means any invention of the COMPANY conceived or first actually reduced to practice in the performance of work under this Agreement.

"Background Invention" means any invention made by the COMPANY, or their subagreement holders of any tier, prior to performance of the Agreement or outside the scope of work performed under this Agreement.

B. Allocation of Principal Rights

The COMPANY shall retain the entire right, title, and interest throughout the world to each subject invention consistent with the provisions of this Article, and 35 U.S.C § 202. With respect to any subject invention in which the COMPANY retains title, the Government shall have a non-exclusive, nontransferable, irrevocable, paid-up license to practice or have practiced on behalf of the United States the subject invention throughout the world. The COMPANY may elect to provide full or partial rights that it has retained to other parties.

C. Invention Disclosure, Election of Title, and Filing of Patent Application

1. The COMPANY shall disclose each Subject Invention to the Government within four (4) months after the inventor discloses it in writing to his Company personnel responsible for patent matters. The disclosure to the Government shall be in the form of a written report and shall identify the Agreement under which the invention was made and the identity of the inventor(s). It shall be sufficiently complete in technical detail to convey a clear understanding to the extent known at the time of the disclosure, of the nature, purpose, operation, and the physical, chemical, biological or electrical characteristics of the invention. The disclosure shall also identify any publication, sale, or public use of the invention and whether a manuscript describing the invention has been submitted for publication and, if so, whether it has been accepted for publication at the time of disclosure.

2. If the COMPANY determines that it does not intend to retain title to any such invention, the COMPANY shall notify the AO, in writing, within nine (9) months of disclosure to the NUWCDIVNPT Contracting Activity. However, in any case where public disclosure by the inventor has initiated the one (1) year statutory period wherein valid patent protection can still be obtained in the United States, the period for such notice shall be in no event less than 60 days prior to the one (1) year statutory bar date.

3. The COMPANY shall file its initial patent application on a Subject Invention to which it elects to retain title within one (1) year after election of title or, if earlier, prior to a publication, or sale, or public use. The COMPANY may elect to file patent applications in additional countries (including the European Patent Office and the Patent Cooperation Treaty) within either ten (10) months of the corresponding initial patent application or six (6) months from the date permission is granted by the Commissioner of Patents and Trademarks to file foreign patent applications, where such filing has been prohibited by a Secrecy Order.

4. After considering the position of the COMPANY, a request for extension of the time for disclosure election, and filing under this Article XXVIII, paragraph C, may be approved by NUWC Contracting Activity, which NUWC approval shall not be unreasonably withheld.

D. Conditions When the Government May Obtain Title

Upon the Government's written request, the COMPANY shall convey title to any Subject Invention to the Government under any of the following conditions:

1. If the COMPANY fails to disclose (and does not correct such failure within thirty (30) days after notice of such failure from the Government) or elects not to retain title to the Subject Invention within the times specified in this Article XXVIII, paragraph C; provided, that the Government may only request title within sixty (60) calendar days after learning of the failure of the COMPANY to disclose or elect within the specified times.

2. In those countries in which the COMPANY fails to file patent applications within the times specified in this Article XXVIII, paragraph C; provided, that if the COMPANY has filed a patent application in a country after the times specified in this Article XXVIII, paragraph C, but prior to its receipt of the written request by the Government, the COMPANY shall continue to retain title in that country; or

3. In any country in which the COMPANY decides not to continue the prosecution of any application for, to pay the maintenance fees on, or defend in reexamination or opposition proceedings on, a patent on a Subject Invention.

E. Minimum Rights to the COMPANY and Protection of the COMPANYs Right to File

1. The COMPANY shall retain a nonexclusive, royalty-free license throughout the world in each Subject Invention to which the Government obtains title. The COMPANY license extends to the domestic (including Canada) subsidiaries and affiliates, if any, within the corporate structure of which the COMPANY is a party and includes the right to grant licenses of the same scope to the extent that the COMPANY was legally obligated to do so at the time the Agreement was awarded. The license is transferable only with the approval of the Government, except when transferred to the successor of that part of the business to which the invention pertains. The Government approval for license transfer shall not be unreasonably withheld.

2. The COMPANY domestic license may be revoked or modified by the Government to the extent necessary to achieve expeditious practical application of the Subject Invention pursuant to an application for an exclusive license submitted consistent with appropriate provisions at 37 CFR Part 401. This license shall not be revoked in that field of use or the geographical areas in which the COMPANY has achieved practical application and continues to make the benefits of the invention reasonably accessible to the public. The license in any foreign country may be revoked or modified at the discretion of the Government to the extent the COMPANY, its licensees, or the subsidiaries or affiliates have failed to achieve practical application in that foreign country.

3. Before revocation or modification of the license, the Government shall furnish the COMPANY a written notice of its intention to revoke or modify the license, and the COMPANY shall be allowed thirty (30) calendar days (or such other time as may be authorized for good cause shown) after the notice to show cause why the license should not be revoked or modified.

F. Action to Protect the Governments Interest:

1. The COMPANY agrees to execute or to have executed and promptly deliver to the Government all instruments necessary to: 1. establish or confirm the rights the Government has throughout the world in those Subject Inventions to which the COMPANY elects to retain title; and 2. convey title to the Government when requested under this Article and to enable the Government to obtain patent protection throughout the world in that Subject Invention.

2. The COMPANY agrees to require, by written agreement, its employees, other than clerical and nontechnical employees, to disclose promptly in writing to personnel identified, as responsible for the administration of patent matters, and in a format suggested by the COMPANY, each Subject Invention made under this Agreement in order that the COMPANY can comply with the disclosure provisions under this Article. The COMPANY shall instruct employees, through employee agreements or other suitable educational programs, on the importance of reporting inventions in sufficient time to permit the filing of patent applications prior to U. S. or foreign statutory bars.

3. The COMPANY shall notify the Government of any decisions not to continue the prosecution of a patent application, pay maintenance fees, or defend in a reexamination or opposition proceedings on a

patent, in any country, not less than thirty (30) calendar days before the expiration of the response period required by the relevant patent office.

4. The COMPANY shall include, within the specification of any United States patent application and any patent issuing thereon covering a Subject Invention, the following statement: "This invention was made with Government support under Agreement No. N66604-26-9-XXXX by NUWC to the COMPANY. The Government has certain rights in the invention."

G. Lower Tier Agreements

The COMPANY shall include this Article, suitably modified, to identify the Parties, in all subcontracts or lower tier agreements, regardless of tier, for experimental, developmental, or research work.

H. Reporting on Utilization of Subject Inventions

The COMPANY agrees to submit, during the term of the Agreement, an annual report on the utilization of a Subject Invention or on efforts at obtaining such utilization that are being made by the COMPANY or licensees or assignees of the inventor. Such reports shall include information regarding the status of development, date of first commercial sale or use, gross royalties received by the COMPANY, and such other data and information as the Government may reasonably specify. The COMPANY also agrees to provide additional reports as may be requested by the Government in connection with any march-in proceedings undertaken by the Government in accordance with paragraph G of this Article. Consistent with 35 U.S.C. 206, the Government agrees it shall not disclose such information to persons outside the Government without permission of the COMPANY.

I. Preference for American Industry

Notwithstanding any other provision of this Article, the COMPANY agrees that it shall not grant to any person the exclusive right to use or sell any Subject Invention in the United States or Canada unless such person agrees that any product embodying the Subject Invention or produced through the use of the Subject Invention shall be manufactured substantially in the United States or Canada. However, in individual cases, the requirements for such an agreement may be waived by the Government upon a showing by the COMPANY that reasonable but unsuccessful efforts have been made to grant licenses on similar terms to potential licensees that would be likely to manufacture substantially in the United States or that, under the circumstances, domestic manufacture is not commercially feasible.

ARTICLE XXIX: FOREIGN ACCESS TO TECHNOLOGY AND EXPORT CONTROL

A. Foreign Access to Technology

This Article XXIX shall remain in effect during the term of this Agreement.

A. Definition

a) "Foreign Firm or Institution" means a firm or institution organized or existing under the laws of a country other than the United States, its territories, or possessions. The term includes, for purposes of this Agreement, any agency or instrumentality of a foreign government; and firms, institutions or business organizations which are owned or substantially controlled by foreign governments, firms, institutions, or individuals.

b) "Know-How" means all information including, but not limited to discoveries, formulas, materials, inventions, processes, ideas, approaches, concepts, techniques, methods, software,

programs, documentation, procedures, firmware, hardware, technical data, specifications, devices, apparatus and machines.

c) "Technology" means discoveries, innovations, Know-How and inventions, whether patentable or not, including computer software, recognized under U.S. law as intellectual creations to which rights of ownership accrue, including, but not limited to, patents, trade secrets, mask works, and copyrights developed under this Agreement.

B. General: The Parties agree that research findings and technology developments arising under this Agreement may constitute a significant enhancement to the national defense, and to the economic vitality of the United States. Accordingly, access to important technology developments under this Agreement by Foreign Firms or Institutions must be carefully controlled. The controls contemplated in this Article are in addition to, and are not intended to change or supersede, the provisions of the International Traffic in Arms Regulation (22 CFR Part 121 et seq.), Part 117 of Title 32, CFR (formerly DoD 5220.22-M), DD Form 441, and the Department of Commerce Export Regulation (15 CFR Part 770 et seq.)

C. Restrictions on Sale or Transfer of Technology to Foreign Firms or Institutions

a) In order to promote the national security interests of the United States and to effectuate the policies that underlie the regulations cited above, the procedures stated in subparagraphs C(b), C(c), and C(d) below shall apply to any transfer of Technology. For purposes of this paragraph, a transfer includes a sale of the COMPANY, and sales or licensing of Technology. Transfers do not include:

(i) sales of products or components, or

(ii) licenses of software or documentation related to sales of products or components, or

(iii) transfer to foreign subsidiaries of the COMPANY member entities for purposes related to this Agreement, or

(iv) transfer which provides access to Technology to a Foreign Firm or Institution which is an approved source of supply or source for the conduct of research under this Agreement provided that such transfer shall be limited to that necessary to allow the firm or institution to perform its approved role under this Agreement, or

(v) releases pursuant to Article XXVI hereof ("Publication and Academic Rights")

b) The COMPANY shall provide timely notice to the Government of any proposed transfers of Technology developed under this Agreement to Foreign Firms or Institutions. If the Government determines that the transfer may have adverse consequences to the national security interests of the United States, the COMPANY and the Government shall jointly endeavor to find alternatives to the proposed transfer which obviate or mitigate potential adverse consequences of the transfer but which provide substantially equivalent benefits to the COMPANY.

c) In any event, the COMPANY shall provide written notice to the Government AO's Representative and AO of any proposed transfer to a foreign firm or institution at least sixty (60) calendar days prior to the proposed date of transfer. Such notice shall cite this Article and shall state specifically what is to be transferred and the general terms of the

transfer. Within thirty (30) calendar days of receipt of the COMPANY's written notification, the Government AO shall advise the COMPANY whether it consents to the proposed transfer. In cases where the Government does not concur or if within sixty (60) calendar days after its receipt the Government has provided no decision, the COMPANY may utilize the procedures under Article XXIV, Disputes. No transfer shall take place until a decision is rendered.

d) In the event a transfer of Technology to Foreign Firms or Institutions which is NOT approved by the Government takes place, the COMPANY shall (a) refund to the Government those funds paid under this Agreement for the development of the Technology and (b) provide to the Government a non-exclusive, nontransferable, irrevocable, paid-up license to practice or have practiced on behalf of the United States the Technology throughout the world for Government and any and all other purposes, particularly to effectuate the intent of this Agreement. Upon request of the Government, the COMPANY shall obtain and provide written confirmation of such licenses.

D) Lower Tier Agreements

The COMPANY shall include this Article, suitably modified, to identify the Parties, in all subagreements or lower tier agreements, regardless of tier, for experimental, developmental, or research work.

B. Export Control

A. Export Compliance.

Each Party agrees to comply with U.S. Export regulations including, but not limited to, the requirements of the Arms Export Control Act, 22 U.S.C. § § 2751-2794, including the International Traffic in Arms Regulation (ITAR), 22 C.F.R. § 120 et seq.; and the Export Administration Act, 50 U.S.C. App. § 2401-2420. Each Party is responsible for obtaining from the Government export licenses or other authorizations/approvals, if required, for information or materials provided from one Party to another under this Agreement. Accordingly, the COMPANY shall not export, directly, or indirectly, any products and/or technology, Confidential Information, Trade Secrets, or Classified and Unclassified Technical Data in violation of any U.S. Export laws or regulations.

B. Flowdown.

The COMPANY shall include this Article, suitably modified, to identify all Parties, in all lower tier agreements. This Article shall, in turn, be included in all sub-tier subholder agreements or other forms of lower tier agreements, regardless of tier.

ARTICLE XXX: TITLE AND DISPOSITION OF PROPERTY

A. Definitions

In this Article, "property" means any tangible personal property other than property actually consumed during the execution of work under this Agreement.

B. Title to Property

No significant items of property are expected to be acquired under this Agreement by the COMPANY. Title to any item of property valued \$10,000 or less that is acquired by the COMPANY in performance of

this Agreement shall remain with the COMPANY with no further obligation of the Parties unless otherwise determined by the AO. Should any item of property with an acquisition value greater than \$10,000 be required, the COMPANY shall obtain prior written approval of the AO. Title to this property shall also remain with the COMPANY. The COMPANY shall be responsible for the maintenance, repair, protection, and preservation of all such property at its own expense. Property acquired pursuant to this clause shall not be considered as in exchange for services in performance of the project, but shall be considered a Government contribution to the project.

The Government will provide the COMPANY with the Government Furnished Property (GFP) listed in the Statement of Work (SOW) and/or referenced in a Government Furnished Property List that may be incorporated as an attachment to this Agreement to facilitate the performance of this Agreement.

The COMPANY shall assume the risk of and be responsible for any loss or destruction of, or damage to, the GFP while it is in the COMPANY's possession or control, with the exception of reasonable wear and tear or reasonable and proper consumption. The GFP shall be returned at the end of the Agreement Period of Performance in a condition that is as good as when it was received with the exception of said reasonable wear and tear, or in accordance with the provisions of this Agreement regarding its use. The COMPANY shall obtain explicit written authorization for any transfer or disposition of the GFP.

ARTICLE XXXI: GOVERNING LAW AND JURISDICTION

(a) This Agreement shall be construed and enforced in accordance with the laws of the United States in a Federal Court with competent jurisdiction. Any dispute arising under this Agreement shall first be handled in accordance with Article XXIV: Disputes

(b) In the event that any provisions contained in this Agreement or any part thereof shall for any reason be held invalid, illegal or unenforceable in any respect by a court of competent jurisdiction, to such extent such provision shall be deemed null and void and severed from this Agreement, and the remainder of this Agreement shall remain in full force and effect. The headings appearing at the beginning of the sections contained in this Agreement have been inserted for identification and reference purposes only and shall not be used in the construction and interpretation of this Agreement.

ARTICLE XXXII: SAFEGUARDING COVERED DEFENSE INFORMATION AND CYBER INCIDENT REPORTING

(a) Definitions

“Adequate security” means protective measures that are commensurate with the consequences and probability of loss, misuse, or unauthorized access to, or modification of information.

“Compromise” means disclosure of information to unauthorized persons, or a violation of the security policy of a system, in which unauthorized intentional or unintentional disclosure, modification, destruction, or loss of an object, or the copying of information to unauthorized media may have occurred.

“COMPANY attributional/proprietary information” means information that identifies the contractor(s), whether directly or indirectly, by the grouping of information that can be traced back to the COMPANY(s) (e.g., program description, facility locations), personally identifiable information, as well as trade secrets, commercial or financial information, or other commercially sensitive information that is not customarily shared outside of the COMPANY.

“Controlled technical information” means technical information with military or space application that is subject to controls on the access, use, reproduction, modification, performance, display, release, disclosure, or dissemination. Controlled technical information would meet the criteria, if disseminated, for

distribution statements B through F using the criteria set forth in DoD Instruction 5230.24, Distribution Statements on Technical Documents. The term does not include information that is lawfully publicly available without restrictions.

“Covered COMPANY information system” means an unclassified information system that is owned, or operated by or for, a company and that processes, stores, or transmits covered defense information.

“Covered defense information” means unclassified controlled technical information or other information, as described in the Controlled Unclassified Information (CUI) Registry at <http://www.archives.gov/cui/registry/category-list.html>, that requires safeguarding or dissemination controls pursuant to and consistent with law, regulations, and Government wide policies, and is—

(1) Marked or otherwise identified in the contract, task order, or delivery order and provided to the COMPANY by or on behalf of DoD in support of the performance of the contract; or

(2) Collected, developed, received, transmitted, used, or stored by or on behalf of the COMPANY in support of the performance of the contract.

“Cyber incident” means actions taken through the use of computer networks that result in a compromise or an actual or potentially adverse effect on an information system and/or the information residing therein.

“Forensic analysis” means the practice of gathering, retaining, and analyzing computer-related data for investigative purposes in a manner that maintains the integrity of the data.

“Information system” means a discrete set of information resources organized for the collection, processing, maintenance, use, sharing, dissemination, or disposition of information.

“Malicious software” means computer software or firmware intended to perform an unauthorized process that will have adverse impact on the confidentiality, integrity, or availability of an information system. This definition includes a virus, worm, Trojan horse, or other code-based entity that infects a host, as well as spyware and some forms of adware.

“Media” means physical devices or writing surfaces including, but is not limited to, magnetic tapes, optical disks, magnetic disks, large-scale integration memory chips, and printouts onto which covered defense information is recorded, stored, or printed within a covered COMPANY information system.

“Operationally critical support” means supplies or services designated by the Government as critical for airlift, sealift, intermodal transportation services, or logistical support that is essential to the mobilization, deployment, or sustainment of the Armed Forces in a contingency operation.

“Rapidly report” means within 72 hours of discovery of any cyber incident.

“Technical information” means technical data or computer software, as those terms are defined in the clause at DFARS 252.227-7013, Rights in Technical Data Noncommercial Items, regardless of whether or not the clause is incorporated in this Agreement. Examples of technical information include research and engineering data, engineering drawings, and associated lists, specifications, standards, process sheets, manuals, technical reports, technical orders, catalog-item identifications, data sets, studies and analyses and related information, and computer software executable code and source code.

(b) Adequate Security. The COMPANY shall provide adequate security on all covered contractor information systems. To provide adequate security, the COMPANY shall implement, at a minimum, the following information security protections:

(1) For covered COMPANY information systems that are part of an Information Technology (IT) service or system operated on behalf of the Government, the following security requirements apply:

(i) Cloud computing services shall be subject to the security requirements specified in the clause 252.239-7010, Cloud Computing Services.

(ii) Any other such IT service or system (i.e., other than cloud computing) shall be subject to the security requirements specified elsewhere in this contract.

(2) For covered COMPANY information systems that are not part of an IT service or system operated on behalf of the Government and therefore are not subject to the security requirement specified at paragraph (b)(1) of this clause, the following security requirements apply:

(i) Except as provided in paragraph (b)(2)(ii) of this clause, the covered COMPANY information system shall be subject to the security requirements in National Institute of Standards and Technology (NIST) Special Publication (SP) 800-171, "Protecting Controlled Unclassified Information in Nonfederal Information Systems and Organizations" (available via the internet at <http://dx.doi.org/10.6028/NIST.SP.800-171>) in effect at the time the solicitation is issued or as authorized by the AO.

(ii)(A) The COMPANY shall implement NIST SP 800-171, as soon as practical, but not later than December 31, 2017. For all contracts awarded prior to October 1, 2017, the Contractor shall notify the DoD Chief Information Officer (CIO), via email at osd.dibcsia@mail.mil, within 30 days of Agreement award, of any security requirements specified by NIST SP 800-171 not implemented at the time of Agreement award.

(B) The COMPANY shall submit requests to vary from NIST SP 800-171 in writing to the Contracting Officer, for consideration by the DoD CIO. The COMPANY need not implement any security requirement adjudicated by an authorized representative of the DoD CIO to be nonapplicable or to have an alternative, but equally effective, security measure that may be implemented in its place.

(C) If the DoD CIO has previously adjudicated the COMPANY's requests indicating that a requirement is not applicable or that an alternative security measure is equally effective, a copy of that approval shall be provided to the Contracting Officer when requesting its recognition under this contract.

(D) If the COMPANY intends to use an external cloud service provider to store, process, or transmit any covered defense information in performance of this contract, the COMPANY shall require and ensure that the cloud service provider meets security requirements equivalent to those established by the Government for the Federal Risk and Authorization Management Program (FedRAMP) Moderate baseline (<https://www.fedramp.gov/resources/documents/>) and that the cloud service provider complies with requirements in paragraphs (c) through (g) of this clause for cyber incident reporting, malicious software, media preservation and protection, access to additional information and equipment necessary for forensic analysis, and cyber incident damage assessment.

(3) Apply other information systems security measures when the COMPANY reasonably determines that information systems security measures, in addition to those identified in paragraphs (b)(1) and (2) of this clause, may be required to provide adequate security in a dynamic environment or to accommodate special circumstances (e.g., medical devices) and any individual, isolated, or temporary deficiencies based on an assessed risk or vulnerability. These measures may be addressed in a system security plan.

(c) Cyber Incident Reporting Requirement

(1) When the Company discovers a cyber incident that affects a covered Company information system or the covered defense information residing therein, or that affects the Company's ability to perform the requirements of the Agreement that are designated as operationally critical support and identified in the Agreement, the Company shall—

(i) Conduct a review for evidence of compromise of covered defense information, including, but not limited to, identifying compromised computers, servers, specific data, and user accounts. This review shall also include analyzing covered COMPANY information system(s) that were part of the cyber incident, as well as other information systems on the COMPANY's network(s), that may have been accessed as a result of the incident in order to identify compromised covered defense information, or that affect the COMPANY's ability to provide operationally critical support; and

(ii) Rapidly report cyber incidents to DoD at <http://dibnet.dod.mil>.

(2) Cyber incident report. The cyber incident report shall be treated as information created by or for DoD and shall include, at a minimum, the required elements at <http://dibnet.dod.mil>.

(3) Medium assurance certificate requirement. In order to report cyber incidents in accordance with this clause, the COMPANY or subagreement holder shall have or acquire a DoD-approved medium assurance certificate to report cyber incidents. For information on obtaining a DoD-approved medium assurance certificate, see <http://iase.disa.mil/pki/eca/Pages/index.aspx>.

(d) Malicious software. When the COMPANY or subagreement holders discover and isolate malicious software in connection with a reported cyber incident, submit the malicious software to DoD Cyber Crime Center (DC3) in accordance with instructions provided by DC3 or the Contracting Officer. Do not send the malicious software to the Contracting Officer.

(e) Media preservation and protection. When a COMPANY discovers a cyber incident has occurred, the COMPANY shall preserve and protect images of all known affected information systems identified in paragraph (c)(1)(i) of this clause and all relevant monitoring/packet capture data for at least 90 days from the submission of the cyber incident report to allow DoD to request the media or decline interest.

(f) Access to additional information or equipment necessary for forensic analysis. Upon request by DoD, the COMPANY shall provide DoD with access to additional information or equipment that is necessary to conduct a forensic analysis.

(g) Cyber incident damage assessment activities. If DoD elects to conduct a damage assessment, the Contracting Officer will request that the COMPANY provide all of the damage assessment information gathered in accordance with paragraph (e) of this clause.

(h) DoD safeguarding and use of COMPANY attributional/proprietary information. The Government shall protect against the unauthorized use or release of information obtained from the COMPANY (or derived from information obtained from the COMPANY) under this clause that includes COMPANY attributional/proprietary information, including such information submitted in accordance with paragraph (c). To the maximum extent practicable, the COMPANY shall identify and mark attributional/proprietary information. In making an authorized release of such information, the Government will implement appropriate procedures to minimize the COMPANY attributional/proprietary information that is included in such authorized release, seeking to include only that information that is necessary for the authorized purpose(s) for which the information is being released.

(i) Use and release of COMPANY attributional/proprietary information not created by or for DoD. Information that is obtained from the COMPANY (or derived from information obtained from the

COMPANY) under this clause that is not created by or for DoD is authorized to be released outside of DoD—

- (1) To entities with missions that may be affected by such information;
- (2) To entities that may be called upon to assist in the diagnosis, detection, or mitigation of cyber incidents;
- (3) To Government entities that conduct counterintelligence or law enforcement investigations;
- (4) For national security purposes, including cyber situational awareness and defense purposes (including with Defense Industrial Base (DIB) participants in the program at 32 CFR part 236); or
- (5) To a support services contractor (“recipient”) that is directly supporting Government activities under an agreement that includes the clause at 252.204-7009, Limitations on the Use or Disclosure of Third-Party Contractor Reported Cyber Incident Information.

(j) Use and release of COMPANY attributional/proprietary information created by or for DoD. Information that is obtained from the COMPANY (or derived from information obtained from the COMPANY) under this clause that is created by or for DoD (including the information submitted pursuant to paragraph (c) of this clause) is authorized to be used and released outside of DoD for purposes and activities authorized by paragraph (i) of this clause, and for any other lawful Government purpose or activity, subject to all applicable statutory, regulatory, and policy based restrictions on the Government’s use and release of such information.

(k) The COMPANY shall conduct activities under this clause in accordance with applicable laws and regulations on the interception, monitoring, access, use, and disclosure of electronic communications and data.

(l) Other safeguarding or reporting requirements. The safeguarding and cyber incident reporting required by this clause in no way abrogates the COMPANY’s responsibility for other safeguarding or cyber incident reporting pertaining to its unclassified information systems as required by other applicable clauses of this contract, or as a result of other applicable U.S. Government statutory or regulatory requirements.

(m) Subcontracts. The COMPANY shall—

(1) Include this clause, including this paragraph (m), in subcontracts, or similar contractual instruments, for operationally critical support, or for which subcontract performance will involve covered defense information, including subcontracts for commercial items, without alteration, except to identify the parties. The COMPANY shall determine if the information required for subagreement holder performance retains its identity as covered defense information and will require protection under this clause, and, if necessary, consult with the Contracting Officer; and

(2) Require subagreement holders to—

(i) Notify the prime COMPANY (or next higher-tier subagreement holder) when submitting a request to vary from a NIST SP 800-171 security requirement to the Contracting Officer, in accordance with paragraph (b)(2)(ii)(B) of this clause; and

(ii) Provide the incident report number, automatically assigned by DoD, to the prime COMPANY (or next higher-tier subagreement holder) as soon as practicable, when reporting a cyber incident to DoD as required in paragraph (c) of this clause.

ARTICLE XXXIII: INTELLECTUAL PROPERTY INFRINGEMENT

(a) The Government authorizes and consents to all use and manufacture, in performing this agreement or any subcontract at any tier, of any invention described in and covered by a United States patent-

(1) Embodied in the structure or composition of any article the delivery of which is accepted by the Government under this contract; or

(2) Used in machinery, tools, or methods whose use necessarily results from compliance by the Company or a subcontractor with (i) specifications or written provisions forming a part of this contract or (ii) specific written instructions given by the Contracting Officer directing the manner of performance. the entire liability to the Government for infringement of a United States patent shall be determined solely by the provisions of the indemnity clause, if any, included in this contract or any subcontract hereunder (including any lower-tier subcontract), and the Government assumes liability for all other infringement to the extent of the authorization and consent hereinabove granted.

(b) The Company shall include the substance of this clause, including this paragraph (b), in all subcontracts that are expected to exceed the simplified acquisition threshold, as defined in Federal Acquisition Regulation (FAR) 2.101 on the date of subcontract award. However, omission of this clause from any subcontract, including those at or below the simplified acquisition threshold, as defined in FAR 2.101 on the date of subcontract award, does not affect this authorization and consent.

(c) The Company shall report to the Contracting Officer, promptly and in reasonable written detail, each notice or claim of patent or copyright infringement based on the performance of this contract of which the Company has knowledge.

(d) In the event of any claim or suit against the Government on account of any alleged patent or copyright infringement arising out of the performance of this contract or out of the use of any supplies furnished or work or services performed under this contract, the Company shall furnish to the Government, when requested by the Contracting Officer, all evidence and information in the Company's possession pertaining to such claim or suit. Such evidence and information shall be furnished at the expense of the Government except where the Company has agreed to indemnify the Government.

(e) The Company shall include the substance of this clause, including this paragraph (c), in all subcontracts that are expected to exceed the simplified acquisition threshold, as defined in Federal Acquisition Regulation (FAR) 2.101 on the date of subcontract award.

ARTICLE XXXIV: FORCE MAJEURE

No failure or omission by the Company in the performance of any obligation of this Agreement shall be deemed a breach of this Agreement or create any liability if the same shall arise from any cause or causes beyond the control of the Parties, including but not limited to, the following: acts of God; Acts or omissions of any Government; Any rules, regulations or orders issued by any Governmental authority or by any officer, department, and agency or instrumentality thereof; fire; storm; flood; earthquake; accident; war; rebellion; insurrection; riot; and invasion and provided that such failure or omission resulting from one of the above causes is cured as soon as is practicable after the occurrence of one or more of the above-mentioned causes.

ARTICLE XXXV: ORDER OF PRECEDENCE

In the event of any inconsistency between the terms and conditions of this Agreement and any other terms and conditions incorporated into this Agreement as an attachment, the terms of this Agreement shall supersede and control.

ARTICLE XXXVI: EXECUTION

This Agreement constitutes the entire agreement of the Parties and supersedes all prior and contemporaneous agreements, understandings, negotiations and discussions among the Parties, whether oral or written, with respect to the subject matter hereof. This Agreement may be revised only by written consent of the COMPANY and the AO designated in this Agreement. By executing this Agreement, the COMPANY affirms that it is a non-traditional defense contractor, small business, traditional defense contractor with significant non-traditional defense contractor participation, non-profit research institution or a traditional defense contractor providing a one-third cost share and, as a result, is eligible to be awarded this Agreement.